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Emerging Markets Strategy Weekly

Can back-end USTs derail EM risk?

Flagship

CITI'S TAKE

US back-end rates are at the epicenter of macro risk, driven by rising crude prices and fiscal concerns. We believe that if the US Treasury's doubling of long-term debt purchases proves insufficient, depending on the equity response, EM risk may react to these developments in a heavier way—as 60/40 portfolios and risk parity funds start to suffer. This dynamic will likely induce higher volatility in EM rates, particularly in Central Europe, South Africa, Mexico, and Korea. On credit, as markets move into September/October, a potential aversion to duration risk in EM credit may cause some spread widening in the belly and front end of the curve as the bond redemptions calendar is poised to significantly re-accelerate.

Asia — US Treasury's support for long-end bonds via larger buybacks will have implications for EM Asia. Broadly, we see room for yields to grind lower or a flatter curve to varying degrees within the region. The announcement is also likely to weigh on USD, in line with the bias towards lower USD vs Asia FX. Separately, we discuss the market implications of India's early termination of the FCNR(B) scheme.

CEEMEA — Turkey: We provide an update on Turkey's economic backdrop while keeping a long TURKGB 27s position. **Israel**: Q3/Q4 may be a pivotal time for the shekel and ILS rates. As the election approaches, international flows could favor the ILS once again, potentially also changing the monetary policy equation for the BOI.

LatAm — Headline inflation has moved back closer to Banxico's target over the past three months. Overall, while we acknowledge the risk of a rebound in non-core food inflation in the near term, we continue to believe that the impact of El Niño on Mexico will be considerably less severe than in other Latin American economies, boosted now by the stronger MXN.

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Trade Recommendations

Figure 1. Open Trade Recommendations – Rates and FX

Rates Trades				Dv01 ($)/Notional($)						
Asia										
Hold	Thai 2s10s NDIRS flattener	5-Aug-26	85bp	5k		-1.2bp	-6,000	-0.01%	85.4bp	8/20/2026 12:40 PM HKT
Hold	Receive 5y MYR NDIRS	5-Aug-26	3.71%	5k		-0.1bp	-500	0.00%	3.71%	8/20/2026 12:40 PM HKT
CEEMEA										
Hold	Long 3 Nov 26' OMO	1-Jul-26	Discount:20 (Spot NGN1370)	9mn		4.33%	8,998,623	0.39%	Discount:20.1 BMat Spot: NGN1349.88	8/20/2026 11:40 PM BST
Hold	Long UgandaJune 2034 Bond	20-Mar-25	YTM:16.80(Spot UGX3660)	800k		29.36%	819,672	0.24%	YTM:14.55 (Spot UGX3720)	8/20/2026 11:40 PM BST
Hold	Long EGP 6m bill (12th Dec)	16-Jun-26	YTM:24.6(Spot EGP 50.50)	20mn		3.31%	20,000,000	0.66%	YTM:24.73 (Spot EGP50.79)	8/20/2026 11:40 PM BST
Hold	Long TURKGB Oct-27s	29-Jun-26	37.07	31mn		2.28%	31,000,000	0.71%	36.72	8/20/2026 11:40 PM BST
Hold	Long EGYGB (Jul 29)	7-Jul-29	YTM:23.4(Spot EGP 49.93)	5m		-2.05%	5,000,000	-0.11%	YTM:24 (Spot EGP50.79)	8/20/2026 11:40 PM BST
Latam										
FX Trades				**Notional ($)**						
Asia										
Exit	Long INR vs basket of USD, EUR and SGD with weights 40%, 30% and 30%	10-Jul-26	100	10mm		-0.75%	(75,000)	-0.08%	99.25	8/20/2026 13:50 PM HKT
Hold	3m USDPHP 1x1.5 ratio spread of long 1x call (strike: 62.0) vs sell 1.5x call (strike: 63.0)	13-Jul-26	17bp	10mm		+7.7bp	7,700	0.01%	+24.7bp	8/20/2026 12:40 PM HKT
Hold	3m USDIDR put ratio spread with 1x put with strike 17,900 vs sell 1.5x put with strike 17,600	17-Jul-26	33bp	10mm		+13bp	13,000	0.01%	+46bp	8/20/2026 12:40 PM HKT
CEEMEA										
Hold	USDZAR digiput	29-Jun-26	31%	1mn		0.00%	0	0.00%	16.12	8/20/2026 11:40 PM BST
Hold	Short EURZAR	12-Aug-26	16.1550	22mn		0.22%	48,344	0.05%	16.12	8/20/2026 11:40 PM BST
Latam										
Hold	Long TRY, BRL + MXN vs CAD, CHF, THB vol adjusted	1-Dec-25	100.00	20mn	0.08%	8.08%	1,616,520	1.62%	108.1	8/20/2026 10:05 AM ET

Note: This table does not include trade ideas subject to a restriction.

Source: Citi Research

Figure 2. Open Trade Recommendations – Credit

Credit Trades							
Sovereign							
Hold	Long EGYPT 2059	7-Aug-26	450bp		-1.8%	462bp	8/20/2026 11:40 AM BST
New	Long ANGOL 2037s vs 2031s	16-Aug-26	135bp		0.1%	140bp	8/20/2026 11:40 AM BST
Latam							
Hold	Long Venezuela 2022s	15-Feb-24	$15.64	-$0.37	$40.83	$56.47	8/20/2026 11:40 AM BST
Hold	Long Mexico 2054s vs Mexico 2034s	5-Jun-24	83bp	-1bp	1bp	84bp	8/20/2026 11:40 AM BST
Hold	Long Panama 2050s vs Panama 2035s	17-Oct-24	54bp	1bp	-13bp	41bp	8/20/2026 11:40 AM BST
Hold	Sell Brazil vs Buy Mexico 5yr CDS	2-Dec-24	$45.43	$0.37	-$0.47	$44.96	8/20/2026 11:40 AM BST
Hold	Long Argentina 2038s	3-Dec-24	67pts	-$2.18	$12.18	$79.18	8/20/2026 11:40 AM BST
Hold	Long Argentina 2041s	3-Dec-24	59pts	-$2.30	$11.48	$70.48	8/20/2026 11:40 AM BST
Hold	Long Ecuador 2035s	17-Mar-25	52pts	-$0.22	$38.80	$90.80	8/20/2026 11:40 AM BST
Hold	Long Romania 2053s vs Mexico 2055s	1-Dec-25	22bps	6bp	-26bp	-4bp	8/20/2026 11:40 AM BST
Hold	Long Brazil 2054s vs Colombia 2061s	1-Dec-25	1bp	-3bp	46bp	47bp	8/20/2026 11:40 AM BST
Hold	Long Peru 2050s vs Chile 2054s	1-Dec-25	25bps	1bp	-8bp	17bp	8/20/2026 11:40 AM BST
Corporates							
Hold	Long NTBKKK Perps	1-Dec-25	241bp	0.3%	2.2%	214bp	8/20/2026 11:40 AM BST
Hold	Long GULFSA Perps	13-Jan-26	307bp	0.3%	2.7%	280bp	8/20/2026 11:40 AM BST
Hold	Long AYDEMT 30s	22-Jan-26	636bp	0.3%	5.0%	610bp	8/20/2026 11:40 AM BST
Hold	Long ALDAR 56s	5-Jun-26	300bp	0.4%	-0.1%	306bp	8/20/2026 11:40 AM BST
Hold	Long BEXBAH 28s	5-Jun-26	310bp	0.2%	-0.2%	364bp	8/20/2026 11:40 AM BST
Hold	Long BINHLD 30s	5-Jun-26	725bp	1.2%	-4.3%	906bp	8/20/2026 11:40 AM BST
Hold	Long ENOIGA 31s	5-Jun-26	295bp	0.1%	1.4%	274bp	8/20/2026 11:40 AM BST
New	Long EDVLN 30s	18-Aug-26	205bp	0.2%	-0.5%	216bp	8/20/2026 11:40 AM BST

Note: This table does not include trade ideas subject to a restriction.

Source: Citi Research

Figure 3. New/Closed Trade Recommendations

	Trade Recommendation	Entry Date	Entry Level	Exit Date	Exit Level	Total PnL	$ Total PnL	PnL as % of portfolio	Current Level	Pricing as of
FX Trades										
Asia										
Exit	Long INR vs basket of USD, EUR and SGD with weights 40%, 30% and 30%	10-Jul-26	100	20-Aug-26	99.25	-0.75%	-75,000	-0.08%	99.25	8/20/2026 13:50 SGT
CEEMEA										
LatAm										
Exit	Short AUDBRL via 3m forwards	26-Jun-26	3.57	14-Aug-26	3.68	-2.12%	-318,565	-0.32%	3.696	8/20/2026 10:05 AM ET
Rates Trades										
Asia										
CEEMEA										
LatAm										
Credit Trades										
Sovereigns										
New	Long ANGOL 2037s vs 2031s	16-Aug-26	135bp			0.1%			140bp	8/20/2026 11:40 AM BST
Corporates										
Closed	Long AZURGY 33s vs SEPLLN 30s	19-Mar-26	123bp	18-Aug-26	115bp	0.4%				8/20/2026 13:00 PM BST
New	Long EDVLN 30s	18-Aug-26	205bp			-0.5%			216bp	8/20/2026 13:00 PM BST

Note: It should not be assumed that recommendations made in the future will be profitable or will equal the performance of the securities in this list.

Note: This table does not include trade ideas subject to a restriction.

Source: Citi Research

Figure 4. EM Local Currency Bond Portfolio

		FTSE EM Government Bond Index - Capped (Benchmark)				Model Portfolio (Cash and Duration Allocation)				Model Portfolio (FX Allocation)	Total Cumulative PnL	
						Cash Allocation	Contribution to Duration (CTD)			FX % of portfolio	YTD	Since Inception
							From Cash Allocation	From Duration Allocation	Total CTD			
		YTM	Cntry %	Duration (years)	Contribution to Duration (CTD)	vs. BM				vs. BM	vs. BM	
Asia	CNY	1.40	10.7%	5.56	0.59	0.0%	0.0	0.0	0.0	0.0%	3.4	33.92
	IDR	7.06	9.7%	6.13	0.60	0.6%	0.04	0.0	0.04	0.6%	2.78	90.19
	MYR	3.76	6.2%	7.71	0.48	0.0%	0.0	0.0	0.0	0.3%	-5.06	73.09
	PHP	7.03	5.1%	4.96	0.25	0.0%	0.0	0.0	0.0	0.0%	2.44	35.61
	THB	1.79	7.2%	6.19	0.44	-0.9%	-0.05	0.0	-0.05	-0.6%	5.61	23.61
	INR	NA	0.0%	0.00	0.00	0.3%	0.0	0.0	0.0	0.3%	-0.89	8.83
	SGD	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	-0.31	5.84
	KRW	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	-0.9	-3.35
	TWD	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	-0.4	-0.4
	Asia	4.00	**38.9%**	**6.08**	**2.36**	**0.0%**	**-0.01**	**0.0**	**-0.01**	**0.6%**	**6.68**	**267.34**
CEEMEA	HUF	5.35	2.8%	4.68	0.13	0.0%	0.0	0.0	0.0	0.0%	-4.16	-20.85
	PLN	5.01	9.7%	3.83	0.37	-1.0%	-0.03	0.0	-0.03	-1.0%	6.16	76.78
	TRY	35.70	2.2%	1.69	0.04	0.0%	0.0	0.0	0.0	0.0%	2.07	307.9
	ZAR	8.65	8.4%	6.44	0.54	0.0%	0.0	0.0	0.0	0.0%	-15.55	31.29
	RUB	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	0.0	95.93
	RON	6.64	3.3%	3.97	0.13	0.0%	0.0	0.0	0.0	0.0%	-5.31	6.82
	CZK	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	0.0	0.41
	EGP	NA	0.0%	0.00	0.00	0.5%	0.01	0.0	0.01	0.5%	-0.09	36.69
	ILS	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	0.0	-4.68
	NGN	NA	0.0%	0.00	0.00	0.5%	0.01	0.0	0.01	0.5%	3.8	22.84
	USD - CEEMEA	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	3.8	22.84
	CEEMEA	8.92	**26.4%**	**4.59**	**1.21**	**0.0%**	**-0.01**	**0.0**	**-0.01**	**0.0%**	**-9.28**	**575.98**
Latam	BRL	14.05	3.9%	3.34	0.13	0.0%	0.0	0.0	0.0	0.25%	1.03	105.1
	CLP	5.56	1.9%	6.23	0.12	0.0%	0.0	0.0	0.0	0.0%	0.11	31.36
	COP	11.76	5.3%	4.46	0.24	0.0%	0.0	0.0	0.0	0.25%	-0.83	118.13
	MXN	8.71	10.7%	5.40	0.58	0.0%	0.0	0.0	0.0	0.25%	-1.11	136.3
	MUDI	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	0.0	20.19
	NTNB	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	0.0	12.35
	UYU	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	-0.45	30.7
	ARS	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	0.0	-1.66
	USD - LATAM	NA	0.0%	0.00	0.00	0.0%	0.0	0.0	0.0	0.0%	0.0	-1.66
	Latam	9.69	**24.1%**	**5.02**	**1.21**	**0.0%**	**0.0**	**0.0**	**0.0**	**0.75%**	**-4.79**	**559.67**
EM Total		**6.86**	**89.3%**	**4.79**	**4.79**	**0.0%**	**-0.02**	**0.0**	**-0.02**	**1.35%**	**-7.39**	**1402.98**

GBI: Government bond index; BM: Benchmark is the EM Local Currency GBI (unhedged) index - Capped; Duration: Effective Duration; YTM: yield to maturity.

Note: It should not be assumed that recommendations made in the future will be profitable or will equal the performance of the securities in this list. Note: The model portfolio for EM local currency bonds uses the FTSE EM Government Bond Index as a benchmark. Column (D) shows differences in the cash allocation of each co in the portfolio relative to the country's weight in the EMGBI. Column (E) shows the changes made to the average duration of the bonds for each country relative to the benchmark. For example, a value of –1.0 in column (E) for Brazil would mean that the amount invested in Brazilian bonds has been reallocated to achieve an average duration that is one year less than the average duration for Brazilian bonds in the EMGBI. Given the cash and duration changes for each country, column (F) shows the relative contribution to the average duration of the entire portfolio. A value of 0.1 for Brazil would indicate that the model portfolio is overweight duration for Brazil. Column (G) shows the currency exposure for each country relative to the benchmark. A positive value denotes an overweight of the local currency, while a negative value denotes an underweight. A change to the currency allocation can be achieved by changing the cash allocation in the country or by non–deliverable forward. A value of 0.0% would indicate that the currency exposure is no different than that in the benchmark. Because of restrictions, the region and total numbers in the table may not match the individual country positions shown

Source: Citi Research

Can back-end USTs derail EM risk?

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US back-end rates are back at the epicenter of macro risk. Crude has risen more than 15% since the lows on 5 August, a steady and reasonably quiet up move as flows experience nervousness once again in the absence of a more decisive move towards a US-Iran deal. The post lower NFP price action triggered many discussions, with clients comparing the US rates reaction function to the one seen in early March (in the aftermath of the negative February NFP). We would highlight two factors which enforce the differentiation between now and then (March-2026): (1) ESIs today are experiencing a much more pronounced move to the downside compared to the seesaw back then. This suggests better directionality of output, potentially capping nominal rates. (2) The data sequencing in March this year was not ideal—after the deeply negative NFP, investors received slightly higher retail sales and a CPI print that met consensus, with real average hourly earnings ticking higher at 0.4% MoM (AHE dipped in the last payroll report). All that said, we are talking about factors that could cap the front end and the belly of the curve, not necessarily the back end. We believe the back end could be anticipating another scare in the coming months, unless oil price action manages to eradicate a lot of the risk premium being built in this part of the curve. The action by the US Treasury this week (when it said it would “at least double” its purchases of long-term government debt) was not surprising, though we believe Secretary Bessent could pull the trigger on such measures after a lot more noise in the back end. The revamp in buyback operations will affect USTs maturing in 10–20 years and 20–30 years, increasing from USD2bn to “at least” USD4bn.

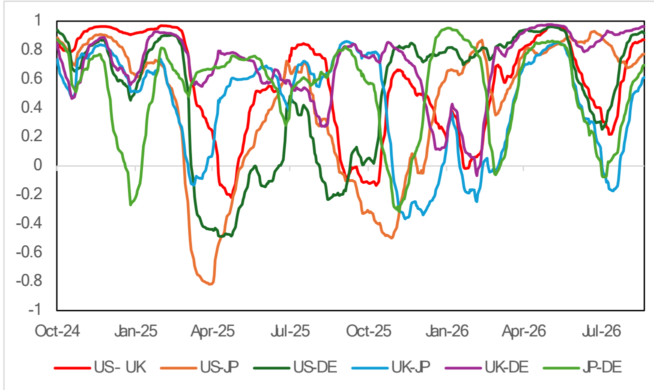
It will be key to measure the medium-term market response to the US Treasury reaction function. In case it proves insufficient, markets will probably ask for more resolve and more aggressive measures (in an environment marked by rising US fiscal concerns). Depending on the equity response to this, EM risk may react to those developments in a heavier way—as 60/40 portfolios and risk parity funds start to suffer.

Figure 5. Monthly Returns in EM sub asset class vs 60/ 40 portfolio

	Frontier	Local	Credit	60/40
Aug-24	1.68%	2.54%	2.40%	2.57%
Sep-24	1.89%	1.99%	2.32%	1.78%
Oct-24	0.60%	-2.47%	-1.53%	-2.48%
Nov-24	0.50%	-0.59%	1.71%	2.93%
Dec-24	0.10%	-0.21%	-1.55%	-2.41%
Jan-25	1.74%	1.10%	1.41%	2.37%
Feb-25	1.08%	-0.14%	1.26%	0.11%
Mar-25	1.21%	0.44%	-0.78%	-2.39%
Apr-25	0.29%	1.72%	0.06%	1.70%
May-25	1.72%	1.09%	1.09%	3.47%
Jun-25	0.74%	1.60%	2.40%	3.39%
Jul-25	0.57%	-0.54%	0.87%	0.21%
Aug-25	0.83%	1.46%	1.37%	2.10%
Sep-25	1.17%	0.46%	1.29%	2.23%
Oct-25	0.98%	0.63%	2.81%	1.14%
Nov-25	0.83%	0.84%	0.26%	-0.08%
Dec-25	0.88%	1.17%	0.80%	0.92%
Jan-26	2.01%	1.33%	0.23%	1.65%
Feb-26	1.79%	1.40%	1.42%	0.81%
Mar-26	-2.41%	-2.83%	-3.51%	-4.98%
Apr-26	1.52%	1.75%	2.72%	6.30%
May-26	-0.13%	1.18%	0.93%	2.78%
Jun-26	1.55%	0.22%	0.85%	-0.47%
Jul-26	0.77%	0.54%	-1.64%	0.01%

Source: Citi Research, Bloomberg

Figure 6. 60-day rolling pairwise correlation of 10-year bonds



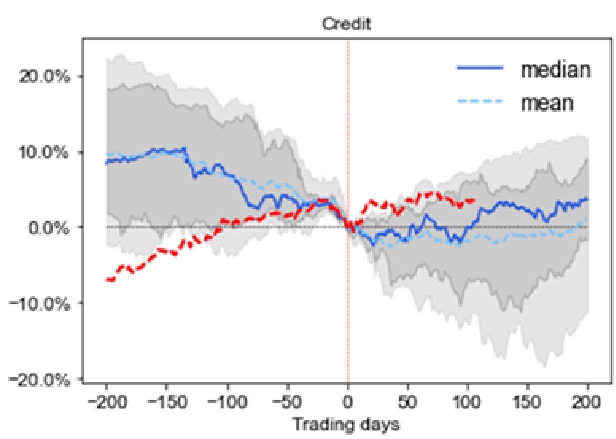
Source: Citi Research, Bloomberg

Such price action may directly impact curves like CE and back-end ZAR and MXN. In Central Europe, the perception of neutrality in monetary policy (except for Hungary) has also induced higher volatility and higher dependence on core rates guidance. We have a paid (steeper) bias in PLN rates; we also remain cautious on CZK rates, although a bearish overextension in the belly of the curve may be tactically received.

In Asia, Korea has been the most reactive of the rates curve, and as such, some extra volatility on the core backend (JPY and USD) may influence further steepening. KRW has staged a meaningful rally, driven by a moderation in foreign equity outflows following the KOSPI correction, the unwinding of FX hedges via NDF USD selling, and spillover support from JPY intervention. A softer USD should help, too; nonetheless, risks to the upside remain and stem from any KOSPI rebound that could prompt a re-acceleration of foreign equity outflows. On rates, while the BoK's front-loaded hiking cycle (25bps each foreseen in August, November, and February next year towards a 3.5% terminal rate) will keep the front end under pressure, but we are constructive on long-end receivers even against a backdrop of higher DM back-end yields.

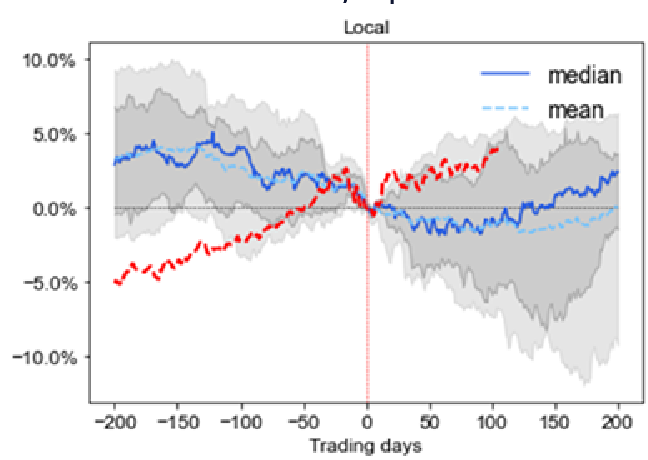
Flows have been resilient, but a continuation in rising DM yields could derail EM risk. The sequencing of a reasonably neutral CPI print (right on consensus at headline and core levels) and a negative NFP print (in an environment characterized by a lot of ESI downside already) felt like the perfect environment to chase the USD lower. But rising back-end yields could get in the way. Risk parity funds and 60/40 strategies have had a positive performance in August so far, mostly due to the two-week melt-up in equities, but exaggerated moves in the back end could hurt risk a lot, as crude prices creep up once again. Risk parity and 60/40 portfolios (generally good gauges of investment risk) are still doing fine, in our view, sitting on the equity-driven upside from late Jul–early August. But if back ends keep on going, equities may as well trade in a more bearish tone, as we have seen in recent historical episodes. As illustrated in the charts below (Figure 7 & Figure 8) EM local and EM credit returns are more heavily impacted by larger-than-usual pnl shocks in typical 60/40s and risk parity portfolios. In terms of aftershock medium term response (we use a 4+% drawdown in 60-40 portfolios as the starting point to monitor the performance in the EM sub-asset classes). Despite the high correlation in risk parity shocks, returns in EM credit historically tend to recover faster than the ones in local.

Figure 7. Historical EM credit reaction after impact from a 4% drawdown in the 60/40 portfolio over one month



Source: Citi Research, Bloomberg

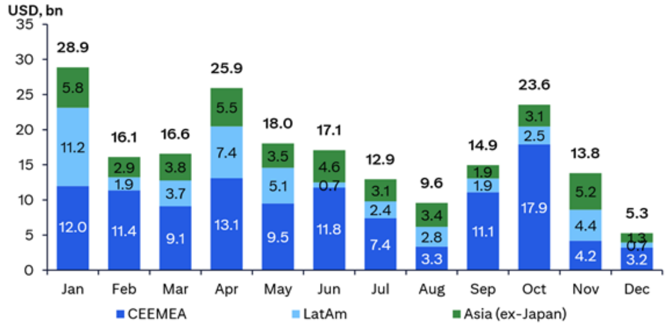
Figure 8. Historical local index (FX-unhedged) after impact from a 4% drawdown in the 60/40 portfolio over one month



Source: Citi Research, Bloomberg

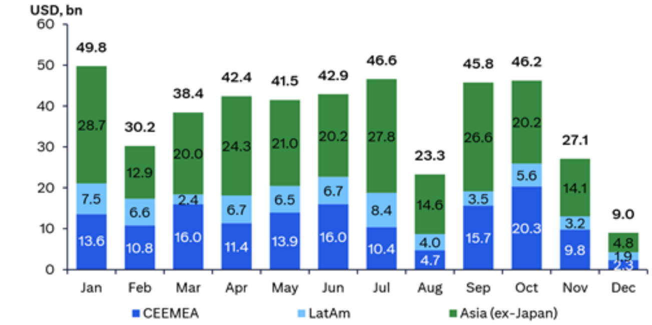
EM credit may play an important balancing act in the near future. This duration anxiety is happening in a moment of record issuance of US-IG debt in August so far (USD145bn), primarily long duration risk. A study from an economics think-tank shows the main driver behind higher US yields has been real yields. That is a tricky relationship given the link between higher US real yields and better productivity levels. So, if pension funds and other long-term investors continue to think this way, this duration buyers' strike may last longer. The action by the US Treasury has lent support to the back end of the curve, but we believe the root causes of a back-end are not necessarily resolved. As markets move into September/October, a potential aversion to duration risk in EM credit may cause some spread widening in the belly and front end (preferred tenors from the buy-side perspective), as the bond redemptions calendar is poised to significantly re-accelerate.

Figure 9. Sovereign redemption profile



Source: Citi Research, Bloomberg

Figure 10. Corporates redemption profile



Source: Citi Research, Bloomberg

With respect to rates

In Asia, we are received 5y MYR NDIRS and 2s10s THB swaps (THOR). We also retain our cash OW in Indonesia (+0.6%, split between 5y and 10y) and 5y IGB (+0.3%), both funded by cash taken from ThaiGBs. In CEEMEA, we are OW cash in EGP and NGN, funded by UW in Poland. We also hold long TURKGBs Oct-27s and in frontier are Long NGOMOB OMO (3 Nov), EGYTB 15-Dec, UGANGB Jun-34s, and EGYGB Jul-29.

With respect to FX

In Asia, we are short USDIDR via options and retain bearish PHP options exposure as a hedge for our overall portfolio. In the EM bond portfolio, we are OW IDR (+0.6%), INR, and MYR (+0.3% each) vs UW THB (-0.6%). In CEEMEA, we hold a digi put in USDZAR and are also short USDZAR outright. In LatAm, we retain our OW COP and OW in BRL and MXN (+0.25% each).

Asia

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With thanks to Stanley Ren

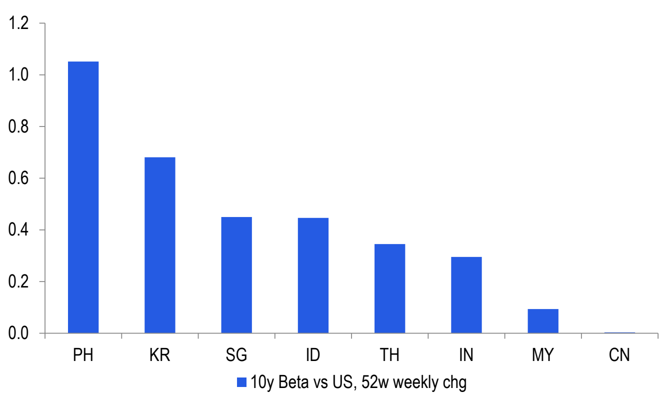
How US Treasury buybacks affect EM Asia

This week the US Treasury announced an increase in long-end buybacks to at least USD 4bn per operation, double the previous amount. Our US rates strategists see this as a way to control long-end yields, with subsequent implicit implications including an increasing unlikelihood of growing coupon auction sizes, at least beyond the 7y with potential reduction in 20y or 30y supply at November refunding (if not earlier).

We see three likely ramifications on Asia: 1) depression of global term premia which could spill over into Asia; 2) the latest action adding to USD softness; and 3) potential for another boost to USD debasement trades that could push gold prices higher.

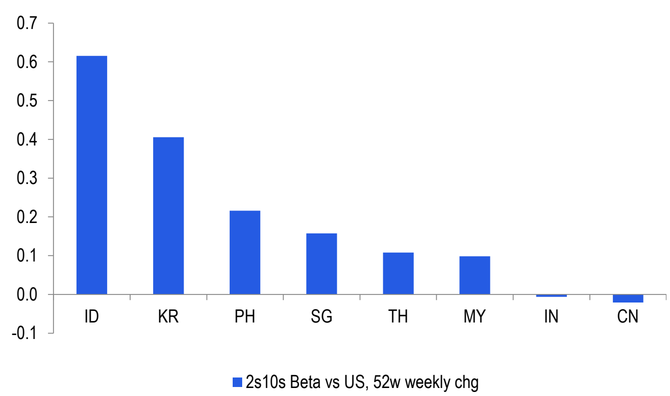
EM Asia yields have room to move lower or see a flatter curve to varying degrees within the region. For 10y bond yields, PH and KR both have a high beta vs US. SG, ID, TH, and IN all display modest betas, too, while MY and CN are low. Meanwhile, a flattening of the US curve may see greater spillovers into ID and KR. PH, SG, TH, and MY may see moderate implications while the relationship between curves look limited for IN and CN. We do note, however, that the Thai curve currently trades steep vs the US, which may mean more scope for flattening or exaggerated betas vs US should the US curve flatten further and more sustainably so. On rates, our current recommendation reflects the above dynamics to some extent: received 5y MYR NDIRS and 2s10s THB THOR, with a bias towards seeing long-end KRW NDIRS fall. In the EM bond portfolio, we are OW cash in Indonesia and India bonds funded by UW in Thai bonds.

Figure 11. EM Asia 10y bond yields beta vs US (weekly chg)



Source: Citi Research, Bloomberg

Figure 12. EM Asia 2s10s bond curve beta vs US (weekly chg)



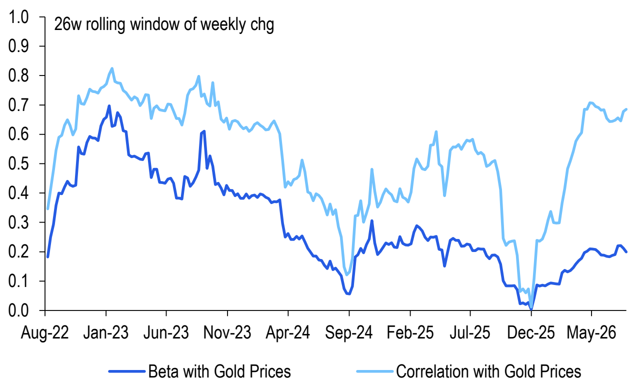
Source: Citi Research, Bloomberg

Overnight developments are likely to further weigh on the USD, which is in line with our bias towards lower USD vs Asia FX. We had seen cracks in the stronger USD story, with the relative outperformance of US vs Asia (seen through economic data surprises and data change momentum) gradually arguing for a softer USD. This unfolded alongside the stronger intervention in North Asia and capital flow measures (FCNR in India, SRBI and lower hedging costs in Indonesia) in South Asia. Further touting of the US's FIMA facility usage—and now the official support for long-end via buybacks—add further to our softer USD view.

We think the biggest beneficiaries will be the strong CA surplus countries—the likes of KRW, TWD, THB, and MYR where exporter hedging may start to increase. On the other hand, a few countries like IDR and INR may attempt to reduce the contingent liabilities accumulated recently. PHP is somewhat similar, and after large interventions (our estimates suggest ~USD 10bn) may underperform to some degree on this leg lower in USD. Accordingly, we have a net short USD bias in our trade recommendations. We are short USDIDR via options (1x1.5 put spread structure to account for limited downside) but keep our long USDPHP options structure as a hedge to our overall view. Our EM bond portfolio is long carry where we are overweight IDR, INR, MYR vs short THB with a net short USD bias overall.

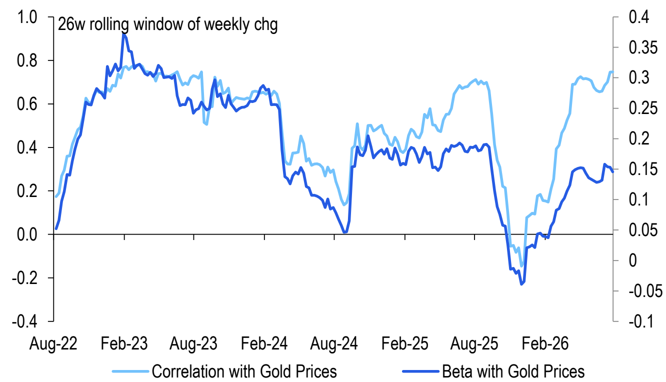
Debasement narrative may bring about higher gold prices and accelerated offloading of FCY deposits. Gold prices have climbed sharply higher overnight. Our Macro Strategy colleagues have chased gold higher while our Commodity team sees further upside with a base case of $5,000/oz on 6-12m horizon and a bull case target of $6,000. A further grind higher in gold prices should investors buy more for USD debasement expression can bring about a bigger tailwind for the baht, while the opposite may be true for INR. The sharp accumulation of FCY deposits could also see some increased unwinds or conversions. We had talked about the stock of such holdings in our last publication (link).

Figure 13. Gold & THB (vs USD)



Source: Citi Research, Bloomberg

Figure 14. Gold & THB NEER



Source: Citi Research, Bloomberg

India – Market implication of early termination of FCNR(B) scheme

The INR has been broadly stable (and even slightly appreciated) vs the USD since the FCNR scheme was announced. Part of the stability was also because of improved external sentiment resulting in resumption of portfolio flows back to India. However, a combination of early termination of the FCNR scheme, along with higher oil prices and the comeback of the AI theme, could be negative for INR again. Another way to look at this would be: if INR could not appreciate when the FCNR scheme was active, then the path of lesser resistance is for a weaker INR. Similarly, if the INR NDOIS curve could not flatten despite all the receiving in OIS and buying of IGBs (on the back of FCNR flows), then perhaps the path of lesser resistance in rates is also a steeper curve.

On the domestic front, despite a 10% weaker INR, India's core goods deficit (non-oil, non-gold) could continue to widen. Looking at exports, it is clear to us that INR weakness at least so far has not helped improve India's export competitiveness while India's consumption remains strong despite a much weaker INR. This is something we are witnessing in Indonesia as well where IDR weakness is not helping to boost its exports.

We see two ways for policymakers to get around this issue if the intention is to stabilize BoP:

1. **Continue with INR weakness.** After all, at some point, INR weakness will make exports competitive and imports very expensive. This could happen after another 10% weakness in INR, or more might be required. The problem with this approach, in our view, is the potential for capital flight (at least initially) from the economy which could be reflected through foreigners taking money out of Indian local currency assets, increased hedging of local currency assets, domestic retail buying of gold to preserve value, potential inflationary pressures, as well as pullback in foreign investments for lack of clarity on investment returns due to FX.

2. **Shift interest rates significantly higher to slow down consumption and attract portfolio flows.** The problem with this approach is that consumption has been the hallmark of India's growth narrative. If consumption were to slow, it could create bigger problems with respect to capital and financial accounts.

It is likely that policymakers use a combination of the above two approaches. Hence, it was not surprising to us that as soon as the early termination of the FCNR(B) scheme was announced, we witnessed INR weakness and higher INR NDOIS.

Could a rate hike be in the cards?

A change in the approach towards BoP stabilization efforts means there could be changes in policy outlook especially on the monetary side. Consequently, despite the RBI governor sounding dovish in the last policy meeting, one should not discount the possibility of an RBI hike this year especially as domestic demand has been holding up well. One way to express this would be through either front-end steepeners (like 1s2s or 6m vs 2y) or through flies like pay 1-2-5 INR NDOIS.

Could another round of INR devaluation be in the cards?

A lot will depend on the direction of the USD, and that will in turn depend on how the Middle East tensions evolve and the AI theme continues. For now, our base case is that crude will revert to $70/bbl by 4Q26 or 1Q27, which should help improve India's goods balance. But the fact that the RBI will now likely have >USD 150bn of contingent liabilities (though a lot of it will be in longer tenors) means the RBI will look at every opportunity to collect USDs. Moreover, unlike the last time, net FDI as support to the BoP has reduced significantly. Unless that pillar of support comes back, INR gains may be limited, leaving room for another round of INR devaluation. In other words, only a significant amount of USD weakness can probably support INR given the current circumstances. As a result, we are closing our long INR vs USD, EUR, and SGD trade at -0.75% loss (value date: 14 Oct'26; USDINR fwd ref: 96.005, EURINR fwd ref: 112.273, SGDINR ref: 75.749 as of 13:55 SGT, 20 Aug).

Korea Chart Pack

We expect Korea's CA balance to reach a record high of USD 405bn in 2026. The KRW has staged a meaningful rebound, largely supported by: 1) easing offshore selling in Korean equities; 2) unwinding of existing FX hedges; and 3) strong JPY intervention. Korea's fiscal position is likely to remain expansionary in 2H26 as we see the potential for a second fiscal stimulus package of KRW 25tn or more by early

September. Citi econ has brought forward BoK's rate hiking cycle to 25bps each in August, November, and February next year, towards a 3.5% terminal rate. With duration supply pressure easing, upward pressure on long-end KTB yields should gradually abate. We believe long-end KRW NDIRS could fall towards 3.9% levels, if not more. We assess ultra long-end KTBs appear overly cheap, which could prompt policymakers to further cut overall KTB issuance or, more specifically, ultra-long bond supply.

Please see our full publication here: Asia FX and Rates Strategy - Korea Chart Pack

CEEMEA - Turkey

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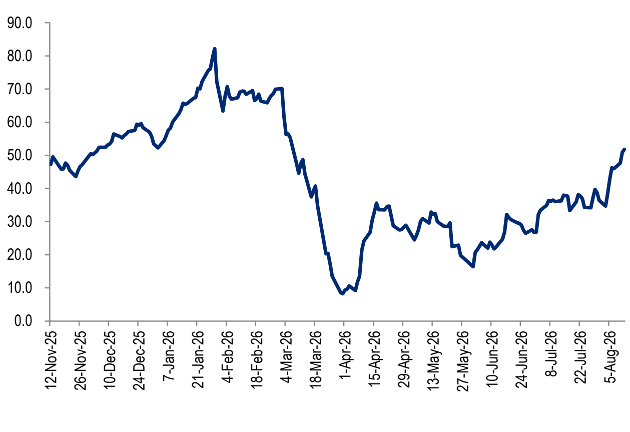
In Turkey, we have been long TURKGB Oct-27s over the summer. We continue to see this trade as effectively a carry trade, with some potential for downside in rates as CBT moves to restart the normalization of funding rate in the next few months. While our expectation of normalization was previously earlier, the oil price and the effective cancellation of the MoU between the US and Iran has left CBT in a tricky spot. We think they may continue to sound hawkish while looking for an opportunity to normalize the funding rate back to 37% by restarting weekly repo auctions. However, the timing for this is uncertain given the backdrop in SoH and oil prices. After reducing the size of our TURKGB long going into the last meeting, we added back to the position here.

The last CPI print in came broadly in line with expectations, with reserve metrics signaling a strong recovery. After the initial shock in energy CPI at 14.4% MoM in April, energy prices' impact in CPI has somewhat normalized with 2.3% MoM change in July (Figure 16). Also, on the inflation front, we are encouraged by the continued downward trend in household inflation expectations (Figure 17) even as the market and real sector participant expectations have plateaued this year. Generally, household inflation expectations have historically been the highest in Turkey out of the three surveys, and we see a continued downward trend in these expectations this year, at 45% currently for one year ahead vs 50% at the end of last year. The governor's recent inflation report also signaled a more realistic upward revision in interim targets for this year. We expect the year to end at close to 30% headline CPI, flat vs last year. On reserves, as politics has faded into the background with a steady depreciation path in the lira, offshore flows have recovered to close to $50bn in NFA less swaps in the latest estimates (Figure 15), recovering from $30bn in end-June.

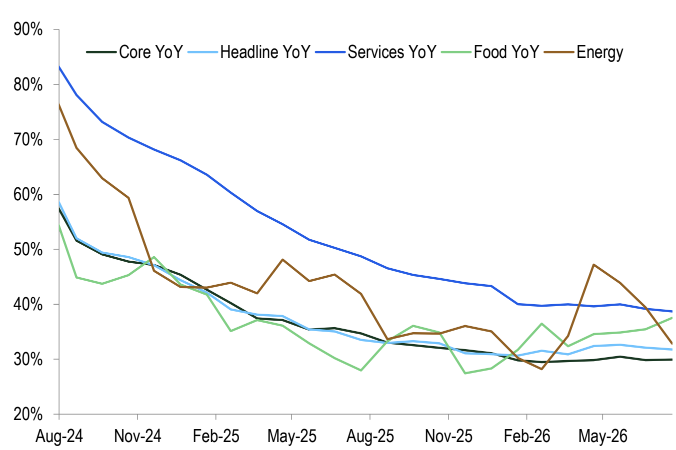
On the noise around the possibility of early elections, given the tighter timeline for this year and disciplined fiscal, we think this year is unlikely, with 2H next year more likely. So far, the primary balance is running at +0.56% through end-July, with the headline deficit at 1.6%. For underlying activity, we see both credit card and consumer loan growth slowing, with both close to 40% YoY. Summer tourism flows should help the BoP in the near term, but already-high REER valuation and Middle East tensions have meant a slower tourism season so far, with cumulative tourist numbers running about 3% lower YTD vs last year. On the de-dollarization trends, lira deposits as a percentage of total deposits in Turkey are now over 61%, signaling stable holdings from locals.

Figure 15. NFA less swaps ($bn)



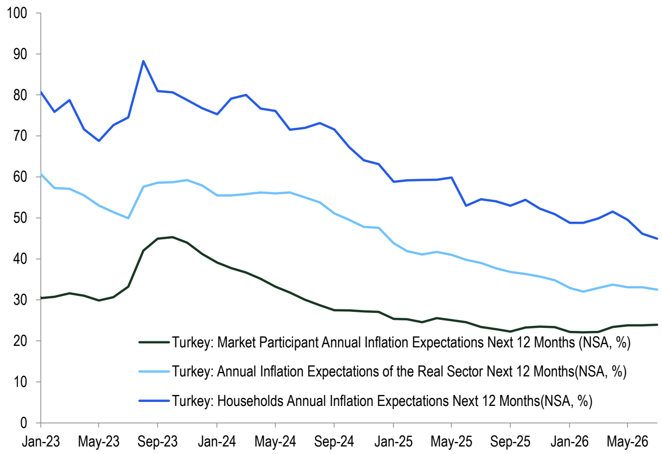
Source: Citi Research, Bloomberg

Figure 16. Different CPI components (YoY%)



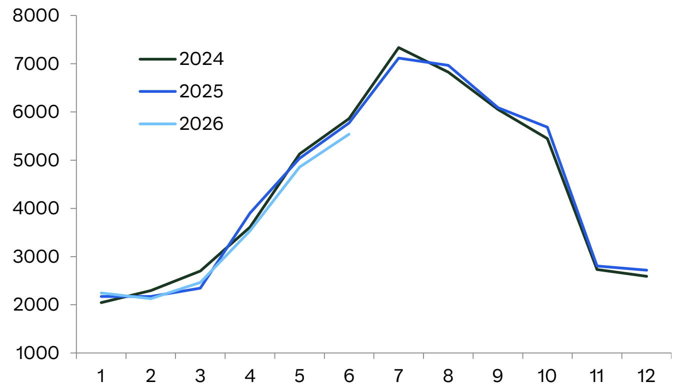
Source: Citi Research, Bloomberg

Figure 17. Inflation expectations in Turkey by sector (%)



Source: Citi Research, Bloomberg

Figure 18. Tourism numbers in Turkey (thousands, monthly)



Source: Citi Research, Bloomberg

CEEMEA - Israel

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3Q/4Q may be a pivotal time for the shekel and ILS rates. As the election approaches (27 October), international flows could favor the ILS once again, potentially changing the monetary policy equation for the BOI as well. Inflation is already fluctuating around the midpoint of the target range, and the headline is still expected to decline in the coming months. Even though the BOI already voiced some degree of attention to ILS strength and its potential disinflationary / output deceleration effect on the Israeli economy, we still believe the BOI approach is not to become more aggressive in the medium term. But the disinflationary picture as we go into 2027 is not entirely clear. Wage growth remains biased to the upside. The June average monthly wage is up 7.7% from June 2025. The number of salaried jobs in June was 4.22 million, compared with 4.13 million in June 2025—an increase of 2%, slightly above the natural population growth rate in Israel. The general dynamics in the tech sector remains bullish despite the geopolitical backdrop. The average monthly wage in the tech industry increased by 13.7% in May on a % YoY basis, as the number of active jobs in the sector remained largely unchanged at around 397,000. We believe the anatomy of wage growth (construction wages have also been under pressure) and the general resilience in consumer demand support a dovish albeit cautious stance by the BOI. In a recent media interview (Bloomberg, 18 August), Governor Yaron said the next MPC meetings will be "live" and the board will be taking into account the two consecutive policy cuts already implemented this year.

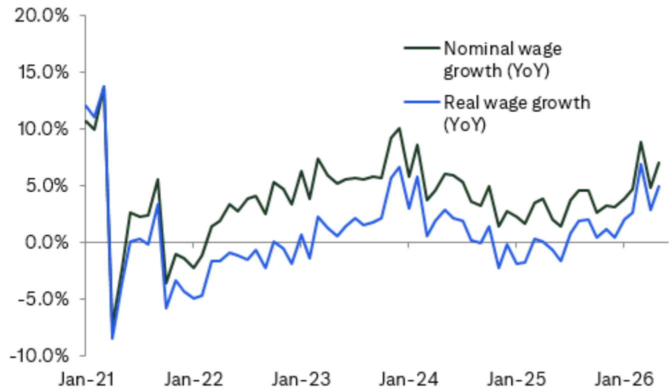
We believe there is still an interesting discussion about the front-end of the ILS curve, especially the 1y1y sector. Despite the generally low pass-through coefficient (0.1/0.2) in Israel, we believe in the setup of strong FDIs (averaging USD 13–14bn in 2025/2026 versus single-digit averages in 2023/2024). Following a sizeable drop in 2024 (1.4% of GDP), the current account remains in rebound mode (expected to finish 2026 above 2% of GDP surplus). But the most powerful lever on the macro side is the positive real yields engineered by this period of sub 2% inflation in Israel. As is normally the case, the sequential and long drop in domestic inflation has also influenced inflation expectations to the downside. Resilient price dynamics in US equities (particularly in tech, despite the rise in vols over the past months) continue to be supportive of shekel appreciation as well. The BOI model already signals a comeback in the correlation between US tech equities and ILS FX. Some further stabilization in US tech equities may bring back old FX hedging patterns among local institutional investors, after a recent jump in their FX exposure in investments abroad. This current weak USD mini-regime could also be a reason to not increase their net USD exposure.

On the political front, recent developments point to an intense pre-election period, from the recent strikes in Syria to the announcement of an emergency defence spending package. Prime Minister Netanyahu is facing pressure not only from the opposition but also from within the right-wing coalition. US measures related to Hamas, as well as President Trump's announcement that the White House will eventually endorse a candidate, may also play a role in the pre-election dynamics.

Figure 19. Israeli institutional investors exposure to FX

Source: Citi Research

Figure 20. Real and nominal wage growth (%YoY)



Source: Citi Research

LatAm - Mexico

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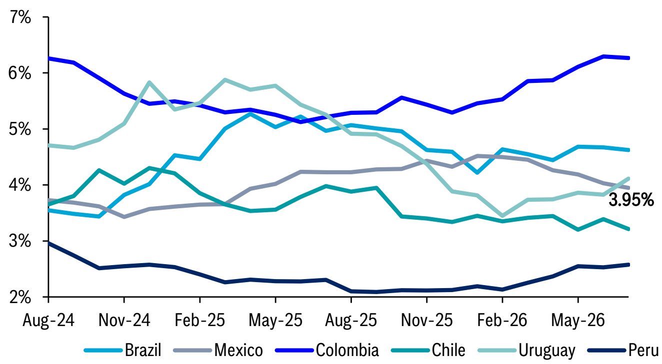
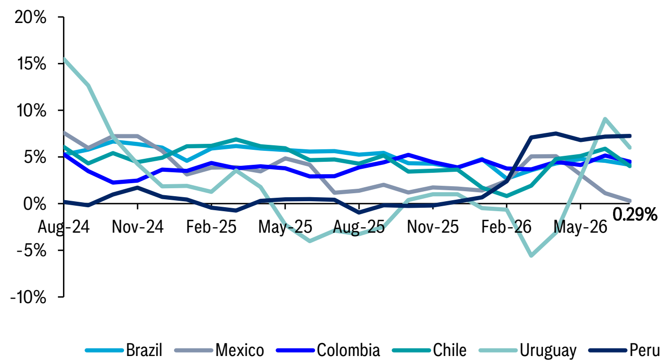
Headline inflation has moved back closer to Banxico's target over the past three months, driven largely by three consecutive months of food and energy price declines. While annualized non-core inflation today stands at 0.29% YoY and accounts for most of the recent headline disinflation, core inflation has also improved and has now come back to the target range. Core services inflation has seen annualized inflation come back to levels last seen in December. That said, Citi's economics team expects some of the more mean-reverting components of the basket, particularly non-core food prices, to reverse part of their recent weakness, leading headline inflation to rise back toward 4.1% YoY by year-end. Core inflation, meanwhile, is expected to remain broadly stable around current levels, ending the year near 4% YoY.

Figure 21. Core CPI: Disinflation in Mexico vs regional peers



Source: Citi Research

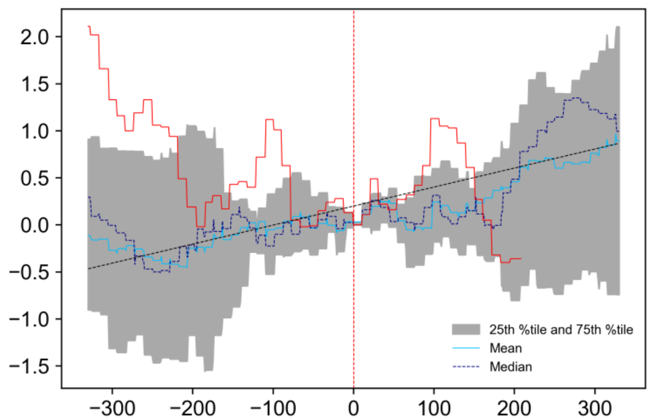
Figure 22. Non-Core CPI has also decoupled by regional standards



Source: Citi Research

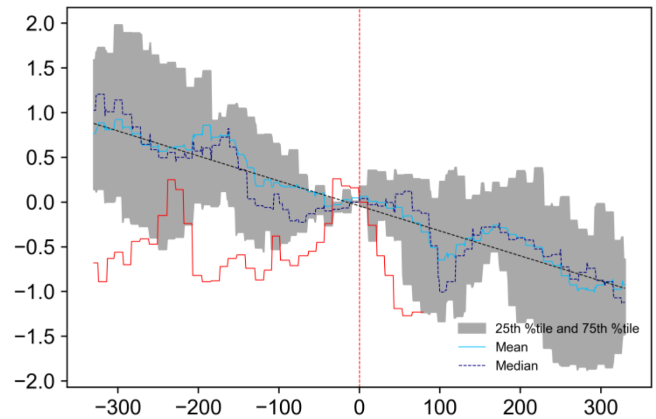
In our view, the recent swings in non-core inflation can largely be traced to two factors. The first was the surge, and subsequent easing, of price pressures linked to US tariff developments. The second, and perhaps less discussed but one that should soon gain momentum in LatAm, has been the transition from what ultimately proved to be a mild La Niña episode to a strong El Niño event. As illustrated in the charts below, Mexico's inflation dynamics have historically been influenced by these weather cycles. With La Niña having begun last October and El Niño emerging in April (measured as +/-0.5 move above the average Pacific water temperature), the economy is currently navigating a period in which the effects of both phenomena may overlap. Historically, our study Latin America FX and Rates Strategy - El Niño & La Niña Playbook in LatAm suggests that the more pronounced inflationary effects of La Niña would likely be felt over the coming months, lending some support to Citi Economics' view that headline inflation could edge higher on non-core foods over recent months. On the other hand, Mexico is also entering the early stages of El Niño, which has historically tended to be disinflationary for the country, a finding we have highlighted previously. Our analysis suggests that food producers generally cope better with drought than excessive rainfall—logical in our view considering there are mitigation measures that are more effective for water shortages than widespread flooding. Overall, while we acknowledge the risk of a rebound in non-core food inflation in the near term, we continue to believe that the impact of El Niño on Mexico will be considerably less severe than in other Latin American economies, particularly in relative terms, as inflation may well be dominated by El Niño.

Figure 23. Mexico CPI on La Niña: Price pressures are starting to build…



Source: Citi Research

Figure 24. Mexico CPI on El Niño: …but the pattern resembles more El Niño, which has been the strongest in recent history



Source: Citi Research

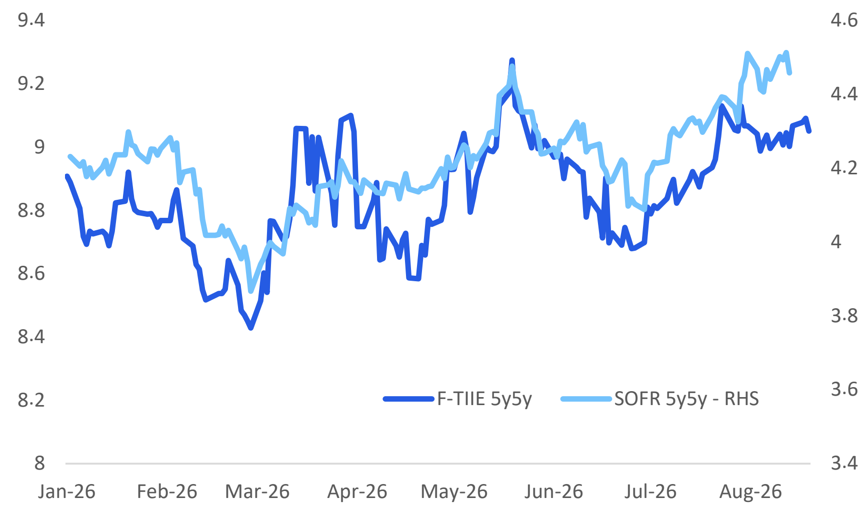
MXN could also become an increasingly important part of Mexico's inflation narrative over the coming months. MXN has benefited from a combination of softer US economic data that has driven CESIDUSD lower, which has reduced market-implied risks of Fed tightening monetary policy, against CESIDMXN which has trended higher on what has been a steadier stream of hawkish domestic surprises, particularly on activity and PMI data, widening the spread between both economies (Figure 25). These exchange-rate dynamics should also begin to work more clearly toward some disinflation as the currency moved aggressively from 17.5 to the current ~16.95 per USD. Historically, a stronger peso has contributed to lower tradable goods inflation through cheaper import prices and reduced cost pressures across consumer baskets. In that sense, MXN's outperformance relative to regional peers comes at an opportune time, as it can help offset any rebound in non-core food prices.

Figure 25. CESIMXN vs CESIUSD

Source: Citi Research

While intuition would suggest that the belly and long end of the curve should have benefited from the strength of the MXN, the reality is that Mexican rates remain largely driven by developments in US rates. Although Mexico's 5y5y F-TIIE have outperformed their US counterparts, the improvement in sentiment has not been sufficient to generate a meaningful rally in local rates. While the recent US Treasury announcement should provide some much-needed support to the long end of the US curve, the case for receiving rates in Mexico will likely require a better stream of US data. Until then, the direction of local rates is likely to remain heavily influenced by moves in US yields rather than by domestic fundamentals alone, particularly with Banxico on hold.

Figure 26. 5y5y F-TIIE vs SOFR



Source: Citi Research

Short-Term Outlook by Region

Figure 27. Asia Short-Term Outlook

	Rates	FX	Credit
China	**Neutral**: Q2'26 growth undershooting expectations alongside still-subdued credit demand reinforces the case for policy support, particularly as the K-shaped recovery persists. Meanwhile, the lag in fiscal deployment and slower-than-expected CGB issuance could provide a near-term technical anchor for bonds. 7d interbank lending marginally moved higher to surpass 7d repo indicates some initial signs of marginal tightening which could be a sign to leave more room for potential easing. Long term liquidity remains well supported via upsized incremental CGB purchases from PBoC. Against this backdrop, we assess 10y CGB yields could be fluctuating around 1.70%, with downside likely capped by liquidity normalization while upside remains limited given soft macro momentum.	**Neutral:** In the near term, RMB is likely to trade with two-way volatility but remain broadly stable. Our quantitative tracker indicates a stronger fixing bias from PBoC as policymakers are actively leaning against the wind amid resurfacing geopolitical tensions. Nevertheless, structural support for RMB strength remains intact – underpinned by resilient export outperformance, ongoing RMB internalization efforts, and steady CNY demand from exporter conversion flows. Taken together, while external pressures may drive episodic fluctuations in RMB, the policy backstop and underlying balance of payments strength are likely to keep USDCNY moves contained in near term. We maintain a constructive view on RMB and expect RMB to move towards 6.75 in the next 3 months and move towards 6.7 over the next 12 months.	
Hong Kong	Hong Kong's short term interest rates are likely to remain modestly biased higher, reflecting a gradual normalization in liquidity conditions following earlier periods of excess cash. The aggregate balance has declined to USD 50-55bn, significantly below prior peaks. Tighter interbank liquidity – driven by FX interventions and seasonal funding demand – is likely to exert upward pressure at the front end.	**Neutral:** HKD is likely to remain biased towards the weak side of its trading band given a still-wide HK-US rate differentials and ongoing carry trade dynamics. Seasonal factors are turning less supportive as dividends repatriation – typically peaking around June contributes to capital outflows. While China's recent tightening of outbound investment channels could, at the margin, redirect some flows into HK equities, such inflows are likely to be episodic rather than structural .	
India	**Neutral:** INR NDOIS curve couldn't flatten despite the receiving in OIS and buying of IGBs (on the back of FCNR flows). The path of lesser resistance in rates is also a steeper curve. Change in the approach towards BoP stabilization efforts means that it is likely that there could be changes in policy outlook especially on the monetary side. Consequently, one should not discount the possibility of an RBI hike this year. For now, INR may still screen as attractive from a carry to vol perspective and so we retain an off-index cash o/w in 5y IGBs in our bond portfolio (+0.3%; funded via Thai.	**Neutral:** Combination of early termination of the FCNR scheme along with higher oil prices and the comeback of AI theme could spell trouble for INR again. The other way to look at this would be that if INR couldn't appreciate during the time when the FCNR scheme was active, then the path of lesser resistance is for a weaker INR. We exit our long INR vs a basket of USD, EUR, and SGD but retain the o/w INR cash overlay in our EM bond portfolio.	
Indonesia	**Bullish**: BI continues to offer higher yields and more attractive incentives to attract inflows and preserve financial stability of the system. We long had the view that the peak in 12m SRBI rates were likely in, with yield pickup sufficient to see the desired foreign inflows. Since then, 12m yields have turned lower and the global backdrop has improved (softer dollar and lower DM rates). We continue to hold our cash o/w in 5y and 10y IndoGBs (+0.3% each), funded out of Thai.	**Tactically bullish:** We still believe the IDR remains cheap, and especially so after the bounce back higher in USDIDR or further grind lower in NEER. We draw some early signs of comfort from our latest trip to Jakarta, and recent foreign investor behavior around local fixed income. Admittedly, much more still needs to be done on the local policy front and hence we prefer to re-engage in tactical bullish IDR exposure via options instead. We are short USDIDR via 3m USDIDR put ratio spread and are o/w IDR exposure (+0.3% vs u/w in THB) unhedged in the EM bond portfolio.	
Korea	**Neutral:** While the BoK's front-loaded hiking cycle will keep the front end under pressure, we are constructive on long-end receivers even against a backdrop of higher DM back-end yields. Duration supply pressure clearly peaked, and 10s20s and 10s30s curves sitting at historically extreme Z-scores, ultra-long KTBs look simply too cheap, a dynamic we believe policymakers will move to address through further issuance cuts at the long end. We see long-end KRW NDIRS falling towards 3.90% or lower, with the curve biased to flatten after hikes as seen in historical event studies.	**Neutral:** KRW has staged a meaningful, driven by a moderation in foreign equity outflows following the KOSPI correction, the unwinding of FX hedges via NDF USD selling, and spillover support from JPY intervention. Our view of a softer USD shall help too, but nonetheless, risks to the topside remain and stems from any KOSPI rebound that could prompt a re-acceleration of foreign equity outflows.	
Malaysia	**Bullish**: Strong growth, normalization and hikes amongst the regions' CBs, concerns over the potential negative implications of subsidies on Malaysia's fiscal, and globally higher yields have all contributed to higher MY rates, in our view. This is even as our base	**Bullish**: Local factors still bode well for Malaysia, which are likely to keep local markets comparatively resilient while still leaving it as one of the more promising stories within the region over the medium-term. The external outlook all remains resilient and approved	

	case has been for no change in BNM policy rates, and as we were less concerned over any worsening of fiscals. Current levels still look elevated relative to current oil prices and where other curves have traded. We are received 5y MYR NDIRS.	foreign investments remain buoyant. Complicating this picture, however, is the march higher in US rates and local politics which has weighed on Ringgit more recently. We choose to retain our MYR o/w +0.3% vs u/w THB (-0.3%) in the EM bond portfolio.
Philippines	**Neutral:** Technicals have started to turn more positive for RPGBs in our view. July has seen consistently strong demand at auctions, while latest revised '26 borrowing details suggest that the LCY supply overhang may be much less than feared. Heavier reliance on FCY borrowings places BTr much closer to funding target that we had anticipated, and any jumbo offerings in Sep could be in palatable size. The broader backdrop of downside inflation surprises, weak Q2 growth, have also bode well for local fixed income.	**Bearish:** PHP has seen some respite as broad dollar turns lower. But we do remain cautious on the back of still elevated energy prices. Government spending on infrastructure or capital outlays have also not picked up. An acceleration of which can leave the import bill higher for longer, in our view, especially as growth has disappointed again in Q2. Hawkish expectations have also been tempered on the back of this. We are neutral Peso in the EM bond portfolio but retain our bearish PHP options exposure (call ratio spread; link) as a hedge to our overall portfolio.
Singapore	**Neutral:** SORA remains low due to flush liquidity. However, in our view, SORA is likely to find support at these levels. Technical factors argue for higher belly to long end rates. Finally, the softness in front end SG yields has now left a much larger divergence vs its basket peers and suggests risk is skewed towards higher front-end SG rates, but not without resistance.	**Neutral:** The combination of strong growth and inflation risk underpins the latest decision for a 25bp slope steepening by MAS. Base case now is for no further action but as we witness another round of escalation between US and Middle East, cannot be ruled out. Current FX pricing in forwards space looks to be fair, while latest round of slope steepening erodes carry somewhat for short SGD positions. We expect SGD NEER to remain buoyant within its policy band, supported by a less attractive carry profile in being short SGD NEER, persistent inflation risks and the potential for further tightening.
Taiwan	**Neutral:** Taiwan's rate dynamics have increasingly reflected a shift in inflation and policy expectations, with front end repricing higher as markets begin to price in tightening risks amid rising energy-driven inflation pressures. Looking ahead, swap curves are likely to retain a mild upward bias, particularly at front end, as markets continue to pencil in a delayed but eventual tightening cycle. Our economist expects three rate hikes each of 12.5bp at Dec'26, Jun'27 and Dec'27 respectively while market is pricing a cumulative hike of roughly 70bp by the end of Dec'27.	**Neutral:** The break of TWD NEER below its 750dma signals a softening currency momentum. On a valuation basis, TWD appears a bit on the cheaper side. Still, TWD could remain a bit under pressure given intensified portfolio outflows Exporters remain key suppliers especially as lifer's hedging flows are likely to continue to decline due to changes in regulations. Taken together, the erosion in USD supply alongside potentially firmer USD demand suggests a more USD-supportive flow balance. As such, while Taiwan's strong current account balance should anchor downside, USDTWD is likely to exhibit a gradual upside bias, with risks tilted toward further upside if external risk sentiment deteriorates or equity outflows intensify further ahead.
Thailand	**Flatter curve:** We see scope for tactical flattening of the Thai curve. Long-end auctions seem to have found some support more recently since Jul, and while data is stale for insurers allocation, we have already seen decent lightening in lifers' long-end positioning in Q1'26. In addition, inflation has more recently surprised on the downside. We are received 2s10s THOR, but continue to use Thai as a funder for our o/w in IndoGB and off-index IGBs in our EM bond portfolio.	**Relatively Bearish**: Higher energy prices and consequently the imports bill, alongside continued underlying softness in areas like tourism arrivals that were seen before and into the conflict all bode negatively for THB. We remain relatively bearish on THB with a u/w THB (-0.3%) vs o/w MYR (+0.3%) in the EM bond portfolio. We are also u/w THB vs o/w IDR and INR from the residual cash u/w taken from Thai in the bond portfolio. A key risk is the recent rise in gold prices, and previously bearish positioning that can be unwound quickly on a softer turn in the dollar.

Source: Citi Research

Figure 28. CEEMEA Short-Term Outlook

	Rates	FX	Credit
South Africa	**MW**. South Africa had been a good credit story last year and started this year on a high note with terms of trade under spotlight again with Gold's bull run in backdrop of heightened geo-political tensions. However, since the Iran conflict, the move in oil is pressuring CPI path and the ToT story. The recent BER numbers also pointed to a back-slide in the inflation convergence story towards the new target, followed by a large upside miss in the CPI print for June, however July CPI came slightly below expectations. Away from energy, some downside pressures remain in terms of reduced supply side constraints and continued reforms should continue to help the fundamental story. However, we do not expect SARB to hike here, unless a strong el-nino takes effect on domestic food inflation. We think SARB is cautious but not overly hawkish, with some echoes of a policy mistake in the last meeting with the unexpected hold. We expect rates to trade in line with the global beta, but some more differentiated action can take place in September as budget numbers are once again in spotlight.	**MW**. The currency generally performed well at the start of the year as Gold's bull run had continued, with rest of the precious metals complex joining in. However, the spike in oil have reversed a lot of those gains in ToT story, and ZAR is now at the bottom of the stack for change in ToT since the start of the war, however the recent bullish Gold price action is reversing some of that hit. The recent unexpected hold from SARB has also added to the vulnerability of the currency in our view, and we expect the currency to be broadly range bound. We continue to watch any headlines on domestic political front as well, with recent Phala Phala news unlikely to have significant political impact given the high hurdle for impeachment to be successful but will create political headache for the ANC ahead of local elections later this year. We still hold our long dated downside digi.	**OW**. We maintain an OW in SOAF as the sovereign continues to benefit from a positive ratings trajectory. The fiscal outlook is being revised positively with rating agencies now assuming a more rapid debt consolidation, which is being reflected in overperformance in the curve YTD. While the belly has now priced in a lot of the positive momentum, the long end still appears attractive in our view.
Turkey	**MW**. We are currently long short-end TURKGBs, having added back to our original size as a more hawkish CBT is now behind us. The trade was opened post MoU last month, and as the ceasefire between US-Iran has been tested, we reduced our size going into CBT, but have since added back. As US-Iran strikes have continued, oil prices are now hovering close to $95, vs low $70s post MoU. Turkey and Egypt within CEEMEA remain two of the most exposed countries to energy price shocks. We think the carry trade in rates remains alive, as energy CPI remains subdued after the initial shock in April. We do think that CBT will utilize nay opportunity in oil backdrop to normalize the effective funding rate back to 37%, while still sounding hawkish.	**MW**. We are now flat Lira FX in our model pf, but are holding the TURKGB trade unhedged. As the war in Iran has upended most carry trades amid a VAR shock in EM portfolios, TRY has been no exception. Our preferred reserve metric, NFA less swaps, hit new cyclical lows in late-March (we estimate around 8.3bn USD), levels not seen since Mar-25. Previous to the war related positioning unwind, the NFA less swaps had been hovering close to 80bn, near all-time highs. This figure has now recovered to $50bn recently, as carry trade has seen inflows over the summer. We closely watch any headlines relating to the early elections front, but we only expect that noise to pick up close to mid-next year.	**MW**. We trimmed our OW as Turkish risk has been underperforming on the Middle East conflict. Turkey is likely to be negatively impacted by a prolonged increase in energy prices, which is already putting pressure on FX reserves and could impact CAD going forward. Supply pressures will be larger than some peers, likely at USD4bn for the last Autumn.
Poland	**UW**. Pre-war, we were nearing end of cycle dynamics in Poland and could see two more cuts before terminal rates this year, however the recent breakout in oil has changed that, with now flat rates priced in, as Glapinski has sounded more dovish recently. Growth is now starting to pick up in the most recent data, not just in Poland but across CEE, but CPI still remains under control. Fiscal remains key, with generally less likely for a resolution with Tusk's poor ratings. We are currently UW Poland rates to fund longs in frontier space.	**MW**. We expect CEE complex to come under pressure from recent energy price increases, but EU funds inflow across CEE should help cushion large depreciations. We are currently taking a more neutral position in our portfolio on the FX complex in CEE.	**MW**. We are cautious on Polish credit and removed our OW as fiscal pressures are likely to remain elevated, and eurobond supply will be high. The ratings trajectory in the medium term is likely to be negative we fiscal will remain structurally wide.
Czech Republic	**MW**. On the rates side, CZK is now starting to become more interesting as the central bank has come in more hawkish in the recent weeks, leading the curve to price 3 hikes now. While it is unlikely in our view that the CNB delivers on a deep hiking cycle with recent positive surprises on CPI, we think that the curve looks too high versus fundamental valuation, especially in the front-end. However, the positioning has been skewed to received, while more model accounts have been paying the momentum, which has kept the curve near elevated levels. We think CNB remains somewhat reluctant to hike. On growth side, we see Czech growth tracking better than last year, with auto production recovering in the second half of the year, and the central bank likely to update their growth target for this year to 3%, which they rate as slightly above potential.	**MW**. While Poland and Hungary have clear themes this year, in Koruna the vols have become fairly depressed as the key catalyst has been missing for most part of the year. With the likely start of the hiking cycle in June, we could see marginal strengthening in Koruna, but it will depend on the fact whether they 'outhawk' the ECB as well. For now, we remain relatively neutral on the currency, and the price action will likely be guided by incoming data and global developments.	
Hungary	**MW**. Hungary is one of the most interesting curves in CEE this year, with an ongoing central bank easing cycle and structural break in country's politics with end of Orban's rule after 16 year in power. We believe that this is a South Africa like moment for HU – and if things go well market may well be talking about EU accession and ratings upgrades later this year. In the most recent meeting, NBH has now started rate cuts, with a full cycle of close to 150bps likely in our view. The inflation profile has been revised lower, with price caps extended and FX passthrough offsetting	**MW**. We expect CEE complex to come under pressure from recent energy price increases, but EU funds inflow across CEE should help cushion large depreciations. We are currently taking a more neutral position in our portfolio on the FX complex in CEE. For HUF, we maintain a bullish bias given the structural break in country's politics, and inflow of EU money expected under the new government.	**MW**. The Tisza win in the Parliamentary elections has led to a much more positive narrative for Hungarian risk. The improvement of relations with the EU, the unlocking of significant EU funding and the government's intentions to anchor its policies around long-term EU adoption will all be supportive for

	the energy impact. At these levels, the curve is essentially flat, with 5y5y rates trading close to 5% and terminal priced currently at 5.25% as well, we think curve steepeners make sense as we head into an easing cycle.	Additionally, the recent leg higher in EURHUF has cleaned out a lot of residual positioning, with little focus on local HUF story in global investors' minds. In early weeks of September, we think EURHUF could trade with a downside bias as investors re-dig into the Hungary story, and re-position in the trade, ahead of the 2027 draft budget and more formal announcements of euro adoptions plans.	credit, that said fiscal remains relatively wide and a lot of the compression has already been priced in. The curve already trades tighter vs the BBB average.
Romania	MW. Romania faces significant political uncertainty (again) following the PSD's withdrawal of support for the current coalition under PM Bolojan. This instability increases the probability of fiscal slippage from the status-quo under most scenarios. For EU funding, increased instability and lengthy uncertainty in domestic politics could risk about 8bn EUR from RRF funding which is set to expire this year, however SAFE and Cohesion funding and close to 3-4bn RRF should still come through. In terms of asset prices, the FX and bond market reaction has been so far well-behaved, owing to largely reduced positioning from offshore accounts following on from the US-Iran conflict, but we see space for further sell-off/steepening in ROMGB curve if lengthy uncertainty over fiscal persists.	MW. With the passing of PSD's internal party referendum to withdraw support for the PSD-PNL coalition under PM Bolojan's leadership yesterday (passed with 97.7% in favor), Romania is at uncertain political crossroads again, with recent technocratic candidates also looking unlikely for new PM position. Fundamentally, this time around NBR has larger reserves and given that 3-5bn of RRF inflow flow is likely to get through in any scenario, and funding from rest of programs should also be relatively safe, we think that EURRON should face less pressure compared to previous electoral cycle.	OW We took profits in our ROMANI trade, which retains a decent carry potential, but lack of near-term political resolution before parliament recess. We retain a small OW given the attractive carry. Moody's and Fitch have opted for a "wait and see" approach which highlights that fiscal overperformance YTD With 2 out of the 3 rating agency reviews behind us, the next rating event is in October (S&P). That said, room for a significant spread tightening is limited given that political resolution will likely be followed by significant issuance.
Egypt	OW: The conflict in Iran has fueled inflation expectations in energy-importing Egypt and forced the CBE to continue to pause its easing cycle. Prior to the conflict, we expected further Overnight Deposit Rate cuts this year; however inflation is now expected to exceed the 7% (±2pps) target set for Q4 2026 before gradually declining in Q1 2027 and aligning with the target in H2 2027. This has kept front end yields high and disincentivized flows into the bonds. As such, we continue to see value in the carry trade in Egypt.	OW: EGP continues to trade with a high beta to global geopolitics. The continued Hormuz blockade has triggered another bout of FX depreciation—with USDEGP trading as low as EGP 48.4 in early July (on MoU developments) versus north of 50 for the last few days. The total energy import bill estimate for 2026/27 has been raised 12.5% to USD 13.5bn to reflect higher energy prices, resulting in deterioration in both the current account and fiscal balance. This deterioration needs to be reflected in FX trading levels; we believe authorities should shift the informal FX trading band higher from 47–51 to perhaps 49–53, or allow the FX to move to the top end of the band before gradually adjusting the range	OW. We are OW with a preference for the long end of the curve. The latest IMF review highlighted that the external resilience of Egypt to another external shock was better than expected. Fiscal and monetary remain extremely tight with primary deficit expected to close to 5%, which will provide a cushion to geopolitical risks.
Nigeria	OW: Front-end Nigeria has been one of our high-conviction trades this year given the still-high oil prices (versus our forecasts at the beginning of the year) and less government borrowing pressure. The February 50bp cut is now seen as a one-off — no further cuts are expected this year, with single-digit inflation pushed to H2 2027. We continue to like the OMO trade as the CBN has had to roll OMO maturities via primary auctions given the lack of MPR cuts. We do expect some rotation from shorter dated OMO towards longer dated NTBs in the coming period especially following the directive that has opened OMO invetsments to the broader Nigerian population. The pension fund ruling which will likely also encourage pension funds to slow new bond purchases and rotate incremental allocation toward NTBs.	OW: The elevated oil prices this year have changed the structure of FX flows to the market. Firstly, Oil marketers have sold dollars into the interbank market for the first time this year in roughly a decade (ca. USD110mn in June), with expectations of reaching USD1.5–2bn in annual market sales going forward – so this has brought a natural supply of USD to the market. In addition, Nigeria's import bill for refined petroleum has structurally fallen due to the Dangote refinery (we believe that ca.USD10bn of FX demand has been removed from the market with the decrease in refined petroleum imports). Finally, total central bank FX intervention has fallen sharply, reflecting a structural shift away from CBN dominance of the FX market toward genuine flow-driven trading (increased diaspora remittances, oil company FX sales, regular trade flows) Overall, we maintain our view that the Naira will trade within a stable range as we approach the elections.	MW. We moved from OW to MW. Even if the macro story is supportive, particularly given the positive external performance which allows a reserve buildup of about USD1bn per month. That said, spreads are now well tight versus the rating, while we expect supply to come out in the Autumn.

Source: Citi Research

Figure 29. LatAm Short-Term Outlook

	Rates	FX	Credit
Brazil	Neutral: The sequencing of consecutive lower CPI print than consensus proved enough for Copom to continue easing policy rates, cutting the policy rate by a further 25 bps to 14%, hinting on a data dependent approach but with a bias to continue easing, if the data proves to be supportive. Overall, we have seen economic data softening further this month, which has sustained the recent rally in DI. The latest of these prints were the softer June IBC-Br which contracted -0.64% MoM. PMI for June also went to contractionary territory, with the composite down to 48.8. IPCA for July was slightly above consensus, with inflation therefore still holding at 4.44% YoY. The biggest concern for the board is that inflation expectations continue to edge higher, standing now at 4.32% for the Focus 12M horizon.	OW: The USDBRL has weakened against peers over recent weeks, with little local developments that would have induced the . Overall, we still see alpha in BRL, and believe that it will remain a currency at this stage driven by the polls, which could turn relatively quickly.	Neutral: Lula remains a slight favorite and incumbency dynamics are still supportive, the polarized electoral landscape and sensitivity to cost-of-living pressures—particularly from higher energy prices—suggest that political risk will remain a key driver for spreads into the election cycle
Mexico	Neutral: Banxico remained on hold this month at 6.5%, on an economy that is showing stronger economic activity releases while headline inflation continues to improve. CPI for the month of July ended broadly in consensus, driving headline inflation to 3.12% YoY, only barely above the target. Core inflation also saw room to now move within the tolerance range at 3.95% YoY. On economic activity, PMIs remain on expansive territory while IP surprised higher at 1.7% YoY. 2Q came in at 1.5% QoQ, with consensus next week of IGAE for July at 1.9% YoY.	OW: MXN has outperformed on the bac of the more hawkish activity releases, benefiting fully from the widening in spreads between CESIMXN and CESIUSD, as it has rallied below 17.	Underweight: S&P's decision to revise Mexico's outlook to negative (BBB) marks a clear inflection point in the sovereign credit narrative, effectively aligning with Moody's (Baa2, negative) and reinforcing the direction toward ratings convergence at BBB-/Baa3, in line with Fitch (BBB-, stable), i.e., one notch above high yield. The shift reflects persistent fiscal slippage—driven by rigid spending (social programs, Pemex support), weak growth, and an unfavorable macro mix limiting oil revenue upside—which continues to push deficits above official targets (we estimate ~4.4% of GDP vs. 4.1%).
Argentina	Neutral:. Moody's upgraded Argentina sovereign credit rating to B3, shifting the outlook from stable to positive. This marks an important achievement for Argentina, with now all three major rating agencies aligned at the B- level, opening the doors to new investment funds. On macroeconomic developments, July CPI ended at 2.1% MoM, with consensus today for a 22.4% YoY expansion in Economic activity for June.	Neutral: BCRA have slowed down the pace of USD buyback, having bought 15 mn on Wednesday, bringing their YTD operations to US$ 13.68 mn, with gross international reserves now back above $US 50 bn.	Overweight: We remain constructive as fiscal discipline, continued disinflation and improving reserve buffers support further normalization. Growth remains positive, but the key H2 catalyst is a broadening of the recovery from agriculture, energy and mining toward consumption, credit and investment. The main risks are slower reserve accumulation, softer domestic growth and rising political uncertainty ahead of the 2027 election
Chile	Neutral: The BCCh kept the policy rate unchanged at 4.5%, reiterating that the macroeconomic outlook remains subject to a higher-than-usual degree of uncertainty. 2Q Public Financial Report emphasized the country's growing challenge of restoring fiscal buffers. Consequently, the MinFin unveiled their updated 2026 financing plan this week, incorporating an additional USD 6.2bn of issuance, with part of that already being issued in external bonds in August. On inflation, it was broadly in line with consensus, ending July at 3.5%.	Neutral: CLP strengthened on the back of the global risk on and higher copper, but remains relatively cheap above the 920, being held back by oil and its implication to the countries terms of trade.	Neutral: Supply and strong fiscals support high valuations and are supported by strong copper prices. The little progress done on fiscal consolidation allow us to think there will be no upward pressure on the credit valuations, keeping the credit expensive with few catalysts to make it attractive in the short-term. Chile's institutions allow for continuity of a prudent fiscal outlook.
Colombia	Neutral: BanRep policy held policy rate unchanged late last month at 12%, a surprise considering that markets had priced in a 50 bps hike. The board remains divided, with one true dissenting vote as three had favored another 50 bps of	OW: COP remains the strongest currency trading now below 3100 handle, boosted lately by the higher oil. We remain OW COP as markets optimism over the new administration and high carry should remain supportive of the currency.	Neutral: Valuations are no longer attractive and we see limited near-term catalysts given persistent fiscal challenges and high interest rates. The recent earthquake adds another source of fiscal uncertainty , with preliminary

	tightening. On data, July CPI stood at 0.17% MoM, or 6.03% YoY, this time softer than expected. Nucleo 15 underlying metric though remains elevated at 6.3%, which is the main concern now for Banrep. The central banks highlighted that inflation concerns remain at the forefront, with expectations remaining well above target across different horizons.		economic losses estimated at close to $10 billion and reconstruction spending likely to complicate consolidation. We therefore prefer to remain neutral until there is greater clarity on the fiscal trajectory and the new administration's policy response
Peru	Neutral: Official results confirmed Fujimori will be the new Peru president, with 50.14% of the vote. The narrow margin constrains execution, with a fragmented congress limiting the scope for fiscal consolidation and/or structural reforms. Velarde has agreed to remain BCRP chief, ensuring policy continuity. Rates remain on hold at 4.25%, amidst inflation that continues to edge higher, with July at 0.29% MoM and 4.07% YoY.	Neutral:. USDPEN continues trading below 3.36, edging lower in August. Weaker USD and higher copper were opposite forces influencing price action over the week. PEN continues to trade as the region's low beta.	Neutral: The value represents Peru's record of macroeconomic stability, and strong growth, coupled with recovering tax revenues, will help narrow the fiscal deficit.
Uruguay	Neutral: BCU kept the policy rate unchanged at 5.75% in July. The central bank continues to expect inflation to converge to the 4.5% target within the relevant horizon for monetary policy. So far, inflation risks have remained balance, but any future development in the outlook for inflation and its expectations will be key to determine the next policy decision. CPI for July ended at 0.07% MoM and 4.27% YoY.	Neutral: USDUYU remains above 40. Local demand dynamics continue to be the prevailing force driving price action in the currency, as flows remain light overall.	
Ecuador			Overweight: OW, but with increasing caution. The IMF program, stronger external buffers and renewed market access continue to support the credit. However, after the strong bond rally, valuations offer less cushion just as El Niño is emerging as a meaningful downside risk.
Periphery			In other LatAm credits, we are underweight Costa Rica.

Source: Citi Research

Trade Ideas

Figure 30. Trade Ideas – Rationale/Links

Asia Rates

- Receive 2s10s NDIRS (THOR): Asia FX and Rates Strategy - Trade Ideas: Tactically flatten Thai & Receive Malaysia 5y
  - Risk to trade: 1) Continued rotation away from local fixed income into equities; 2) Re-escalation of US-Iran conflicts from current optimistic expectations; 3) USTs hedged via CCS may still look more attractive for onshore investors.
- Receive 5y MYR NDIRS: Asia FX and Rates Strategy - Trade Ideas: Tactically flatten Thai & Receive Malaysia 5y
  - Risk to trade: 1) Persistent MYR weakness; 2) Rise in political uncertainty; 3) Continued grind higher in US rates.

CEEMEA Rates

- Long 3 Nov 2026 OMO: CEEMEA Emerging Markets Strategy: Rolling the short-dated Nigeria OMO
  - Risks include pressure on the Naira from poor oil production levels and persistently low oil prices.
- Long Uganda 2034: CEEMEA FX and Rates Strategy - East Africa Trip Notes and Going Long Uganda June 2034 Bond
  Risks include significant UGX depreciation, an uptick in government wage bill and any significant delays to the Oil project.
- Going long the Egypt 6m t-bill: CEEMEA Emerging Markets Strategy - Going long the Egypt 6m t-bill
  Risks include if the interim agreement breaks down and the conflict dynamics persist or becomes worse.
- Long TURKGB Oct-27s: Global Emerging Markets Strategy - The EM Strategist
  Risks to the trade include a higher push in energy prices or a more hawkish than expected reaction from the central ban
- Long the 3-year EGYGB bond - CEEMEA Foreign Exchange and Rates Strategy - Egypt: Going long the 3-year EGYGB bond
  Risks to the trade include if the US-Iran MoU agreement breaks down and the conflict dynamics persist or worsen.

LatAm Rates

Asia FX

- 3m USDPHP 1x1.5 ratio spread of long 1x call (strike: 62.0) vs sell 1.5x call (strike: 63.0): Asia FX and Rates Strategy - Trade Idea: Taking Profit on Long USDTHB Exposure; Rolling Over Bearish PHP Structure
  - Risks to trade: 1) strong intervention by the central bank; 2) collapse in imports bill on weak domestic demand or further fall in energy prices.
- long INR vs USD, EUR and SGD on a basket basis with weights 40%, 30% and 30%: Asia FX and Rates Strategy - Trade Idea: India – Long INR on basket and steepeners
  - Risks to trade: The risks to our trade are basically all the factors that can resume the pressure on the BoP. From a current account point of view, it could be resurgence of Middle East tensions that pushes oil higher towards \$90-\$100 per barrel. From a capital account point of view, resumption of equity outflows, significant El Niño impacting growth prospects and consequently equity sentiment.
- 3m USDIDR put ratio spread with 1x put with strike 17,900 vs sell 1.5x put with strike 17,600:Asia FX and Rates Strategy - Trade Idea: Indonesia – Tactically Short USDIDR via Options
  - Risks to trade: 1) Flare-up of concerns over domestic policy; 2) continued escalation in geopolitics and higher oil prices; and 3) larger DNDF maturities as soon as next week.

CEEMEA FX

- Downside USDZAR via 6m digi put: Global Emerging Markets Strategy - The EM Strategist*
  Risks to the trade include a more sustained energy shock than currently priced.
- Short USDZAR via 3m fwd: CEEMEA Foreign Exchange and Rates Strategy - Selling USDZAR (via 3m forwards)
  Risk to the trade is an upside surprise in the US inflation print.

LatAm FX

- Long TRY, BRL, MXN vs CAD, CHF, THB vol adjusted: Global Emerging Markets Strategy - 2026 Outlook: The EM allure is not over (yet)
  - Risks include AI bubble leading to commodities downturn, or any spike in FX volatility

Source: Citi Research

Figure 31. Trade Ideas – Rationale/Links (Continued)

EM Sovereign Credit

Long Egypt 2059: CEEMEA Multi-Asset Strategy - Egypt: Updated views on FX, rates and credit.
Risks include a sharp spike in oil prices on renewed geopolitical tensions in the Middle East

- Going Long ANGOL 37s vs 31s and EDVLN 2030s: CEEMEA Credit Strategy - Going Long ANGOL 37s vs 31s and EDVLN 2030s

Risks to the trade: steepening in core

- Long Venezuela 2022s: EM Credit Weekly - Defying Gravity
  - Risks to the trade: Illiquidity if secondary trading restrictions are imposed, and signals from the current US administration that indicate elevated conflict and non-compliance.
- Long Mexico 2054s vs Mexico 2034s: Mexico Emerging Markets Strategy - Mexican Elections: Uncharted territory
  - Risks to the trade: The announcement of tangible political actions to ensure fiscal consolidation and a smaller-than-expected fiscal deficit in 2024.
- Long Brazil 2054 vs Paraguay 2048s: EM Credit Weekly - Reluctantly long
  - Risks to the trade: A deterioration to Brazil's primary fiscal balances and Paraguay's successful implementation of new structural reforms.
- Long Panama 2050s vs Panama 2035s: EM Credit Weekly - Tuning Out from the Noise
  - Risks to the trade include the successful implementation of tax reforms and austerity measures that dissipates downgrade risks.
- Sell Brazil vs Buy Mexico 5yr CDS: Global Emerging Markets Strategy - 2025 Outlook: Trading Amidst Regime Changes
  - Risks to the trade: A strengthening of Mexico's check and balances, and negative fiscal results and deficit commitment from Brazil.
- Long Argentina 2038s: EM Credit - 2025 Outlook: Walking the tight rope
  - Risks to the trade: Heightened political noise and gridlock for legislative measures.
- Long Argentina 2041s: EM Credit - 2025 Outlook: Walking the tight rope
  - Risks to the trade: Heightened political noise and gridlock for legislative measures.
- Long Ecuador 2035s: Ecuador Emerging Markets Strategy - Trip Notes: Is the math enough for Noboa?
  - Risks to the trade include an electoral win by Luisa Gonzalez and implementation of market-averse reforms.
- Long Brazil 2054s vs Colombia 61s: EM Credit - 2026 Outlook: Carry Over Convictions
  - Risks to the trade include fiscal slippage or electoral outcomes in Brazil, or improved tax revenues/reforms in Colombia.
- Long Peru 2050s vs Chile 2054s: EM Credit - 2026 Outlook: Carry Over Conviction
  - Risks to the trade include poor political backdrop from Peru's elections.
- Long Romania 2053s vs Mexico 2055s: EM Credit - 2026 Outlook: Carry Over Conviction
  - Risks to the trade are an announcement of tangible political actions to ensure fiscal consolidation and/or strengthening of Mexico's check and balances.

EM Corporate Credit

- Long NTBKKK Perps: EM Credit - 2026 Outlook: Carry Over Conviction
  - Key risks to our recommendation include additional supply of GCC subordinated bonds as well as general risk-off environment.
- Long GULFSA 28s: EM Multi-Asset Strategy - The EM Strategist: Caution on EM rates, long selective EMFX
  - Key risks to our recommendation include excessive supply of GCC subordinated bonds as well as general risk-off environment.
- Long AYDEMT 30s: EM Credit Weekly - What a year it's been
  - Key risks to our recommendation include unexpected changes to FIT tariffs in Turkey and weaker investor sentiment towards Turkish corporate risk.
- Long ALDAR 56s: Global EM Corporate Credit Strategy - Balancing barrels and beta
  - Risks to our recommendation include a sharp slowdown in UAE real estate demand and execution slippage on large-scale developments in addition to further geopolitical escalation.
- Long BEXBAH 28s: Global EM Corporate Credit Strategy - Balancing barrels and beta
  - Risks to our recommendation include renewed regional escalation and weaker refining margins delaying earnings recovery
- Long BINHLD 30s: Global EM Corporate Credit Strategy - Balancing barrels and beta
  - Risks to our recommendation include a sharp slowdown in UAE real estate demand and execution slippage on large-scale developments in addition to further geopolitical escalation.
- Long ENOIGA 31s: Global EM Corporate Credit Strategy - Balancing barrels and beta
  - Risks to our recommendation include renewed operational disruption in Israel and delays to medium-term growth projects.
- Long EDVLN 30s: CEEMEA Credit Strategy - Going Long ANGOL 37s vs 31s and EDVLN 2030s
  - Risks to our recommendation include a sustained decline in gold prices, political instability, adverse fiscal or regulatory changes and security disruptions across key West African operating jurisdictions.

Source: Citi Research

Closed Trades

Figure 32. Citi EM closed trades since September 2024

Asia FX	Entry Date	Entry Level	Exit Date	Exit Level	P&L	$ Total PnL	PnL as % of Portfolio
Long SGDIDR 1m forward	6-Nov-24	11946	12-Nov-24	11832	-0.95%		
Long USD against basket of TWD, THB and SGD	13-Nov-24	indexed at 100	29-Nov-24	98.9	-1.10%		
long 3m USDCNH call spread	11-Nov-24	+26bp	3-Dec-24	+39bp	+13bp		
Long USD vs. vol weighted basket of THB, TWD	19-Dec-24	100	8-Jan-25	100.6	0.6%		
Short THB vs. KRW	14-Jan-25	42.15	31-Jan-25	43.24	-2.59%		
Short CNH basket	29-Nov-24	100.13	27-Feb-25	100.11	0.02%		
Short THB proxy basket	20-Feb-25	100.00	6-Mar-25	99.15	0.85%		
Long 3m USDCNH call option condor	19-Dec-24	81bp premium paid	18-Mar-25	-	-81bp		
Long USDKRW 2m put ratio spread	20-Feb-25	premium paid +45bp	4-Apr-25	+69bp	+24bp		
Long MYR vs. CNH	6-Dec-24	1.64	7-Apr-25	1.638	0.56%		
Short CNH basket rolledover for 2m	27-Feb-25	100.16	11-Apr-25	97.16	3.00%		
Long USDTHB via 2m EKO	19-Mar-25	premium paid +34bp	11-Apr-25	+38bp	+4bp		
Short THB vs basket of curreni es	19-Mar-25	100.00	11-Apr-25	99.43	0.57%		
Long USDPHP via butterfly spreads	26-Mar-25	premium paid +29bp	1-May-25	+2bp	-27bp		
Short SGD against basket	6-Mar-25	100.00	5-May-25	101.24	-1.24%		
Short PHP against basket	26-Mar-24	average entry: 100.86	5-May-25	101.8	-0.91%		
Long 3m USDCNH call condor	7-Apr-25	premium paid +48bp	19-May-25	25bp	-23bp		
Long 2m USDIDR put ladder	17-Apr-25	premium paid +29bp	19-May-25	67.8bp	+38.8bp		
2m USDIDR put spread	19-May-25	premium paid 0.508%	3-Jul-25	1.04%	+53bp	261,811	0.26%
Short THB vs. basket	9-Jul-25	100	22-Jul-25	101.74	-1.74%	-174000	-0.17%
long USD put/IDR call (2m expiry EKO at 16000)	24-Jul-25	0.21%	8-Sep-25	0.13%	-0.08%	-8000	-0.008%
long 2m USD put/CNH call ATMF	28-Aug-25	0.64%	17-Sep-25	0.76%	0.12%	12000	0.012%
Short SGD NEER (take half profits)	24-Jun-25	100.00	30-Sep-25	99.75	0.25%	62000	0.062%
Long 2m USDTHB call with EKO at 33	24-Sep-25	0.39%	29-Oct-25	0.77%	0.38%	38000	0.038%
Adjusted long EURIDR exposure via options	6-Oct-25	0.13%	29-Oct-25	0.08%	-0.01%	-1000	-0.001%
Long KRW vs. a basket of USD EUR and JPY	14-Nov-25	100	24-Nov-25	99.41%	-0.59%	-59000	-0.059%
Short SGD NEER (take remaining profits)	24-Jun-25	100	24-Nov-25	100.44	0.44%	110000	0.11%
Long 2m USDPHP put spread	27-Oct-25	0.03%	26-Dec-25	0.00%	-0.03%	3000	0.003%
USDKRW 3m put condor	24-Nov-25	0.26%	26-Jan-26	0.42%	0.16%	15800	0.016%
Long 3m USDPHP call spread	6-Jan-25	0.51%	26-Jan-26	0.37%	-0.14%	-14000	-0.014%
Unwind Short THB leg vs KRW , SGD & TWD (equal weights)	29-Jan-26	100.0	2-Feb-26	101.54	1.54%	154000	0.154%
Add USDHKD forward long	10-Apr-25	average entry: 7.7375	10-Feb-26	7.82	1.05%	357000	0.357%
Long 3m USD put/INR call with strike 88	12-Nov-25	35bp	16-Feb-26	0bp	-35bp	-35000	-0.04%
Long 2m USDKRW EKO with strike 1440 and barrier 1410	6-Jan-26	26.6bp	23-Feb-26	38bp	+11.1bp	22200	0.02%
Long 2m USDTHB EKO with strike 31.5 and barrier 32.5 (Partial Exit)	2-Feb-26	42bp	23-Feb-26	27bp	-15bp	-7,600	-0.01%
Short USD vs. basket of KRW TWD SGD (33% weight each, Partial E	2-Feb-26	100.0	23-Feb-26	99.43	-0.57%	-28,500	-0.03%
Long INR vs PHP 3m NDF	3-Feb-26	1.538	25-Feb-26	1.5867	-3.07%	-307,000	-0.31%
Long SGD vs THB via 6m Fwds (Partial Exit)	9-Mar-26	25.13	17-Mar-26	25.52	1.56% (on half notional)	77,600	0.08%
Long SGD vs JPY via 6m Fwds (Partial Exit)	9-Mar-26	123.20	17-Mar-26	124.41	0.98% (on half notional)	24,500	0.02%
Long SGD vs JPY via 6m Fwds (Exit Remaining)	9-Mar-26	123.20	24-Mar-26	123.77	0.46% (on half notional)	11,500	0.01%
Long 2m USDTHB EKO with strike 31.5 and barrier 32.5 (Exit Remai	2-Feb-26	42bp	31-Mar-26	70bp	+28bp	14,000	0.01%
Long MYRINR: (Long MYR via 6m bills vs.long USDINR 6m NDF, Par	9-Mar-26	23.6	8-Apr-26	: 3.9903 (vs entry: 3.9675) and long USDINR ND	1.51%	76000	0.08%
Long MYRINR: (Long MYR via 6m bills vs.long USDINR 6m NDF, Exit	17-Apr-26	23.6	17-Apr-26	t 3.9548 (vs entry: 3.9675) and long USDINR ND	1.42%	71000	0.07%
Long SGD vs THB via 6m Fwds (Exit Remaining)	9-Mar-26	25.13	6-May-26	25.57	1.75% (on half notional)	87000	0.09%
Long 2m USDTHB EKO with strike 32.75 and barrier 33.5	31-Mar-26	21bp	15-May-26	30bp	+9bp	9,000	0.01%
Long USDPHP via 1m NDF	11-May-26	60.70	15-May-26	61.80	1.81%	181,000	0.18%
Short USD vs. basket of KRW TWD SGD (33% weight each, half pos	2-Feb-26	100.00	8-Jun-26	95.02	-4.98%	-249,000	-0.25%
Long IDR vs EUR via 1m NDF (Partial Exit)	9-Jun-26	20800	16-Jun-26	20568	1.13%	28,300	0.03%
Long IDR vs EUR via 1m NDF (Exit Remaining)	9-Jun-26	20800	25-Jun-26	20432	1.80%	45,000	0.05%
Long 2m USDTHB EKO with strike 32.75 and barrier 33.5 (rolled ove	15-May-26	22bp	13-Jul-26	104bp	+82bp	82,000	0.08%
2m USDPHP 1x1.5 ratio spread of long 1x call (strike: 62.0) vs sell 1.5x	15-May-26	20.5bp	13-Jul-26	10bp	-10.5bp	10,500	0.01%
Long INR vs basket of USD, EUR and SGD with weights 40%, 30% a	10-Jul-26	100	20-Aug-26	99	-0.75%	-75,000	-0.08%
Asia Rates	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**	**$ Total PnL**	**PnL as % of Portfolio**
Received Korea 1y2y NDIRS	16-Jul-24	2.89%	3-Dec-24	2.40%	+48.7bp		
Receive 2y Taiwan ND-IRS	27-Mar-24	1.68%	4-Dec-24	1.72%	0bp inclusive of roll and carry		
Tactical steepening China 2s5s	16-Jul-24	12.5bp	4-Dec-24	7.5bp	-13bp inclusive of roll and carry		
Long 10y KTB vs 10y NDIRS	2-Dec-24	12.5bp	13-Dec-24	17.1bp	-4.6bp		
Long 30y CGB (FX hedged)	2-Dec-24	2.17%	3-Jan-25	1.825%	+37bp		
Receive 5y Taiwan ND-IRS	4-Dec-24	1.795%	14-Jan-25	1.955%	-16bp		
THB 2s10s steepener with extra received in front-end	14-Jan-25	1bp	22-Jan-25	5.2bp	+4.2bp		
Long 30y CGB with partial front-end hedge	17-Jan-25	1.40%	18-Mar-25	1.57%	-11.6bp		
Long Indo 10y Bonds with FX hedge	4-Feb-25	7.04%	19-Mar-25	7.05%	+16bp		
Pay 2y SGD Swaps vs Receive Basket of Swaps	11-Mar-25	+53bp	24-Mar-25	+41bp	+11.5bp		
Flatten 1s3s Thai OIS	27-Feb-25	-7.6bp	3-Apr-25	-15.8bp	+11.9bp		
Paying 1y fwd 1s10s KRW NDIRS	13-Dec-24	+18bp	3-Apr-25	16.5bp	-7bp		
Taiwan 1y fwd 2s5s NDIRS flattener	22-Jan-25	17.5bp	7-Apr-25	+4bp	+13.5bp		
Long 10y MGS (FX hedged via 3m onshore fwds)	2-Dec-24	3.80%	9-Apr-25	3.75%	+26bp		
Long 10y IGB	2-Dec-24	6.74%	9-Apr-25	6.51%	+25bp		
1y1y Taiwan NDIRS receiver	7-Apr-25	1.69%	14-Apr-25	1.31%	+38bp		
Pay 2y THB IRS	11-Jun-25	1.295%	26-Jun-25	1.253%	-3.3bp	-39,828	-0.04%
Receive 5y China NDIRS	7-Apr-25	1.42%	23-Jul-25	1.58%	-16bp	-217000	-0.22%
Long 10y RPGBs (FX hedged)	24-Jun-25	6.35%	6-Aug-25	6.075%	+34bp	171000	0.17%
Long 10y IGBs (FX unhedged)	5-May-25	6.33%	28-Aug-25	6.62%	-55bp	356000	-0.36%
Pay 3m fwd 1s5s INR NDOIS (take half profits)	28-Aug-25	28bp	30-Sep-25	35bp	4bp	39000	0.04%
Receive 1y1y KRW NDIRS	23-Jul-25	2.365%	28-Oct-25	2.55%	-18.5bp	-185000	-0.19%
Receive 2y1y TWD NDIRS	14-Apr-25	1.420%	13-Nov-25	1.76%	-28bp inclusive of roll and carry	-272222	-0.27%
Receive 1y1y INR NDOIS	8-Oct-25	5.44%	1-Dec-25	5.575%	-13.5bp	-135000	-0.14%
Long 5y RPGBs (FX Hedged)	24-Sep-25	5.78%	11-Dec-25	5.60%	+35bp inclusive of carry	175000	0.18%
3m fwd 1s5s INR NDOIS steepener	28-Aug-25	28.3bp	24-Dec-25	46bp	+21.7bp	217000	0.22%
Receive 1s3s10s Thai THOR fly	24-Jul-25	-48bp	29-Jan-26	-61bp	+15bp	145000	0.15%
Long 1y China NCD with FX hedge	27-Feb-25	2.01%	10-Feb-26	1.5%	+498bp inclusive of carry	3480000	3.48%
Long 5y RPGBs (FX hedged)	6-Jan-26	5.71%	2-Mar-26	5.50%	27.7bp inclusive of carry and FX hedge unwin	138500	0.14%
1y1y KRW NDIRS receiver	5-Mar-26	3.41%	9-Mar-26	3.73%	-32bp	-160000	-0.16%
Pay INR 1s5s NDOIS	10-Apr-26	52bp	12-May-26	+71bp	+23bp (inclusive of roll & carry)	115,000	0.12%
1y fwd 1s10s KRW NDIRS steepener	5-Mar-26	12.5bp	10-Jul-26	19.5bp	+7bp	35,000	0.04%
spot 1s5s INR NDOIS steepener	10-Jul-26	41bp	27-Jul-26	52.4bp	+11.4bp	57,000	0.06%
CEEMEA FX	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**	**$ Total PnL**	**PnL as % of Portfolio**
Short USDTRY via 6m fwds	1-Jul-24	32.7	6-Jan-25	35.5	10.61%		
Long ILS vs short CZK and HUF	13-Jan-25	3.673; 24.7; 405.23	20-Jan-25	3.57; 24.46; 400.64	1.56%		
long USD vs. (CZK+HUF+PLN)	30-Jan-25	ZK at 24.07; USDPLN at 4.027; USDHUF at 3	3-Feb-25	CZK at 24.59; USDPLN at 4.12; USDHUF at 398	2.22%		
Long ILS + BRL vs short ZAR	10-Feb-25	3.563, 5.783, 18.365	18-Feb-25	3.555, 5.7, 18.42	1.10%		
Long PLNZAR	26-Feb-25	3.95; 18.42	5-Mar-25	3.886; 18.399	0.76%		
Short USDRUB via 3m NDF	21-Feb-25	89.00	19-Mar-25	82.75	8.030%		
Short USDTRY via 6m NDF	6-Jan-25	35.35	19-Mar-25	38.2	-2.5%		
Short USDZAR	1-May-25	18.65	6-May-25	18.23	+2.3		
Short USDZAR	19-May-25	18.65	24-Jun-25	17.73	1.72%		
EURHUF 2m put spread (390-395)	23-Jul-25	14bp Spot ref:399	11-Aug-25	28bp prem Spot ref:395.50	14bp	245,700	0.246%
Short USDZAR	23-Sep-25	17.3	1-Oct-25	17.15	0.90%	315,000	0.320%
Short EURILS	6-Oct-25	3.825	9-Oct-25	3.778	0.0123	33,000	0.410%
Short USDTRY	23-Jul-25	40.45	23-Oct-25	41.99	4.04%	807,726	0.81%
Short EURHUF	12-Sep-25	391.65	23-Oct-25	390.44	0.84%	159,787	0.16%
Short EURHUF via put spread	12-Sep-25	15bp	11-Nov-25	115bp	1.00%	1,700,000	1.70%
Short EURZAR	23-Oct-25	20.12	21-Nov-25	19.78	1.21%	455,000	0.46%
Short EURCZK	8-Sep-25	24.37	16-Dec-25	24.34	0.7%	262,500	0.26%
Short USDRUB via 3m NDF	2-Dec-25	77.55	26-Jan-26	75.7	4.84%	822,071	0.82%
Long EURHUF	13-Jan-26	386	28-Jan-26	380.14	-1.50%	(500,000)	-0.50%
Short USDZMW 3month NDF	13-Jan-26	Spot: 19.6	2-Feb-26	Spot:19.709	1.28%	25,800	0.03%
Long ZAR vs CZK + HUF	13-Jan-26	100.0	3-Feb-26	100.36	0.36%	71,500	0.08%
Long ILS vs EUR + USD	13-Jan-26	3.148; 3.672	3-Feb-26	3.102; 3.667	0.81%	161,300	0.16%
Long ZAR vs CZK	2-Feb-26	128.16%	11-Mar-26	128.77%	0.80%	160,925	0.16%
Short USDILS	2-Feb-26	3.102	13-Mar-26	3.139	1.19%	237,000	0.237%
EURHUF put spread	1-Apr-26	50bp'	8-Apr-26	60bp	+10bp	70,000	0.07%
Long HUFCZK	27-Apr-26	6.69	6-May-26	6.7805	1.30%	260,000	0.26%
Short USDILS	27-Apr-26	2.98	1-May-26	2.9496	1.09%	217,304	0.22%
Long HUFCZK	27-Apr-26	6.69	6-May-26	6.7805	1.30%	260,000	0.26%
Short USDTRY via 3m forwards	15-Apr-26	44.75	10-Jun-26	46.13	1.65%	330,371	0.30%
Short EURZAR	23-Jul-26	18.79	24-Jul-26	19.19	-2.13%	(468,334)	-0.47%
CEEMEA Rates	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**	**$ Total PnL**	**PnL as % of Portfolio**
Pay SA 5y5y vs 1y1y	4-Apr-25	0.03	8-Apr-25	3.64%	+39np		
Long EGYGB 2027 bond (FX unhedged)	26-Sep-24	YTM:24.65 (Spot EGP48.43)	26-Jun-25	YTM:24.50 (Spot EGP49.97)	12.11%		
Rec 5y CZK IRS vs EU 5y	5-Mar-25	113	19-May-25	3.49%	-38bp		
Rec 2y2y ILS	18-Jun-25	4.2%	30-Jun-25	3.67%	+48bp	1,200,000	1.20%
Rec SA 2y2y vs US 2y2y	9-Jun-25	383	30-Jun-25	402	-17bp	(272,000)	-0.27%
Pay PLN 5y5y vs US 5y5y	18-Jun-25	218	7-Jul-25	188bp	-30bp	(468,000)	-0.47%
Rec 2y2y CZK IRS	30-Jun-25	3.67	1-Aug-25	3.96	-22bp	(462,000)	-0.46%
Long POLGB 10y	23-Jul-25	0.0542	1-Aug-25	5.47%	-0.02	(440,771)	-0.44%
Long IFB May 30s (FX unhedged)	9-Oct-24	YTM:15.40 (Spot KES129.20)	28-Aug-25	11.8 (spot129.25)	18.71%	434,000	0.43%
Egypt Long 3month t-bill (Exp: 14 Oct 25')	23-Jul-25	YTM:28.30(Spot EGP 49.12)	14-Oct-25	Spot EGP 47.71	9.40%	1,883,567	1.88%
Rec SA 2y2y	18-Sep-25	6.95	23-Oct-25	6.84	14.40%	360,750	0.36%
Rec SA 10y10y	13-Nov-25	10.25	21-Nov-25	0.0992	+33bp	494,000	0.50%
Long SAGB 48s	13-Nov-25	9.49	21-Nov-25	0.0959	-3.00%	(290,000)	-0.300%
Long NBK 28-day bill (Mat. 10th Dec)	10-Nov-25	YTM:17.33 (Spot KZT526.05)	10-Dec-25	Matured. Spot 517.96	2.91%	524,141	0.524%
Long Basis trade: 3m bills vs. 3m NDF (Exp: 06 Jan 26')	15/10/2025 &/23/10/2025	YTM:26.60(Spot EGP 47.71) & NDF 18% (Fixing 22 Jan 26')	8-Jan-26	Matured (Spot 47.25)	2.70%	543,000	0.540%
Long NBK 28-day bill (Mat. 8th Jan)	10-Dec-25	YTM:17.3 (Spot KZT 517.96)	8-Jan-26	Matured (Spot 508.27)	3.26%	586,800	0.590%
Long SAGB 48s (FX hedged)	2-Dec-25	9.43	9-Jan-26	9.22799	2.07%	190,058	0.190%
Rec ZAR 5y5y	2-Dec-25	8.73	9-Jan-26	8.6129	+9.06bp	135,900	0.136%
Long HGB 32s (Fx hedged)	3-Oct-25	6.6%	13-Jan-26	6.38%	1.71%	428,500	0.428%
PLN steepener 1y1y vs 5y5y	2-Dec-25	117	20-Jan-25	131	12bp	190,650	0.191%
Long 1year Nigeria OMO (Feb 26)	13-Feb-25	Discount:21.45 (Spot NGN1506) Prefunding:1480	10-Feb-26	Matured BMat Spot: NGN1348	38.94%	2,368,104	2.368%
Rec Hungary 2y2y	13-Jan-26	5.95	12-Feb-26	5.84	12bp	204,000	0.204%
Long SAGB 48s (FX-unhedged)	18-Feb-26	8.62	25-Feb-26	8.48599	2.58%	438,384	0.438%
Long 3m bills (Exp: 07 Apr 26')	8-Jan-26	YTM:25.10 (Spot EGP 47.25)	11-Mar-26	YTM:24.5 (Spot EGP50.40)	-2.50%	(500,000)	-0.500%
Long SAGB 48s (FX-unhedged)	18-Feb-26	8.62	25-Feb-26	8.48599	2.58%	438,384	0.438%
Receiving ZAR 5y5y	10-Mar-26	865.00%	13-Mar-26	895.00%	-30bp	(540,000)	-0.54%
Long SAGB 48s (FX hedged)	1-Apr-26	9.67%	8-Apr-26	9.33%	3.33%	316000	0.32%
Rec HUF 5y5y vs EU 5y5y	1-Apr-26	375bp	8-Apr-26	347bp	28bp	236,000	0.24%
HGB 3% 2041s (41A)	1-Apr-26	0.0665	13-Apr-26	6.17	13.1%	1,700,000	1.73%
HUF 2y2y vs EU 2y2y	22-Apr-26	279.00	6-May-26	262	17bp	262,000	0.26%
Rec CZK 2y2y	29-May-26	0.04	8-Jun-26	0.05	-29bp	(381,147)	-0.38%
Long HGB 30A	13-May-26	0.06	8-Jun-26	0.05	-0.74%	(222,174)	-0.22%
HUF 2y2y receiver	13-May-26	0.05	8-Jun-26	0.05	10bp	160,320	0.16%
Long OMO (30 June 26')	11-Feb-26	Discount:22.95 (Spot NGN1348)	1-Jul-26	Matured (Spot NGN1370)	6.22%	527,000	0.53%
Receive HUF 2y2y	29-Jun-26	4.45%	9-Jul-26	4.75%	-30bps	(492,640)	-0.50%
Rec CZK 2y2y	3-Aug-26	453.00%	7-Aug-26	453.00%	1690.00%	226,000	0.23%
Latam FX	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**		
Long USDCLP	6-Nov-24	971.50	22-Nov-24	966.01	1.38%		
Long BRL vs EUR + USD Basket	2-Dec-24	6.38 and 6.08	6-Jan-24	6.35 and 6.12	0.42%		
Long BRL vs EUR	7-Jan-25	6.35	27-Jan-25	6.23	2.02%		
Short 1m USDBRL NDF	19-May-25	5.64	30-Jun-25	5.43	4.69%	1,228,342	1.22%
Long MXN vs USD	6-Aug-25	18.61	7-Nov-25	18.55	0.60%	598,992	0.60%
Short EURBRL via 3m put spreads	19-Dec-25	0.85	13-Jan-26	1.82	0.97%	969,000	0.97%
Long CLPCOP	13-Jan-26	4.13	2-Feb-26	4.20	1.22%	182,375	0.18%
Short EURBRL via 1m put spreads	13-Jan-26	0.49	13-Feb-26	1.33	0.86%	864,000	0.86%
Short USDBRL via 1m put spreads	14-Apr-26	4.99	6-May-26	4.92	0.07%	74,165	0.07%
Short USDMXN via 1m put spreads	14-Apr-26	17.27	14-May-26	17.17	-0.24%	-236,980	-0.24%
Long 1m NDF CLPCOP	13-May-26	4.265	22-May-26	4.10	-4.17%	-563,772	-0.58%
Short EURBRL via 3m NDF	20-Jun-26	5.895	22-Jul-26	5.77	2.79%	418,655	0.42%
Latam Rates	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**		
Brazil Jan27 - Jan31 Flattener	2-Dec-24	-45bps	10-Dec-24	-74.4bps	29.4bps		
Pay F-TIIE 10y vs 10y US SOFR	2-Dec-24	5.22	13-Dec-24	4.93	-28.7bps		
Rec 5y F-TIIE	6-Feb-25	8.59%	4-Mar-25	8.59%	35.3bps		
Long COLTES 2036s	3-Mar-25	Yield: 11.68%, USDCOP: 4121	19-Mar-25	12.20%	-3.09%		
Receive DI Jan 29s	17-Mar-25	14.45%	4-Apr-25	13.95%	50.3bps		
Long NTNF Jan 29s	17-Mar-25	14.56%	4-Apr-25	14.27%	0.99%		
Long Mbono 2034s	3-Apr-25	9.03%	7-Apr-25	9.20%	-4.80%		
BNTNF 31s FX Unhedged, Pay 5y SOFR	19-May-25	10.17%	16-Jul-25	10.47%	2.23%	1,057,244	1.06%
Receive Offshore IRS 31s	19-May-25	13.51%	19-Sep-25	13.13%	+24bps	241,828	0.24%
Receive 5y F-TIIE	19-May-25	7.81%	7-Nov-25	7.34%	47.2bps	713,457	0.71%
Receive BRL 31s	1-Dec-25	12.81%	9-Dec-25	13.37%	-58bp	-825,338	-0.83%
Pay 5y IBR	1-Dec-25	9.91%	10-Dec-25	10.15%	29bps	237,386	0.24%
Long BONTE 30s FX Unhedged	9-Oct-25	94	16-Dec-25	108.5	25.31%	774,106	0.77%
Jan-29 DI Receiver	29-Jan-26	12.64%	3-Mar-26	12.84%	-23bps	-395,568	-0.40%
5y F-TIIE Receiver	6-Feb-26	7.47	27-Feb-26	7.155	33.7bps	505,239	0.51%
Long Mbonos 32s FX Unhedged	14-Apr-26	100	29-Apr-26	97.486	-2.51%	-700,000	-0.70%
2s5s10s IBR Fly	11-Mar-26	-26.5	11-May-26	-12.26	-14.2bps	-283,016	-0.28%
Corporate Credit	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**		
Long ARACEN 29s	6-Mar-24	539bp	20-Feb-25	591bp	6.7%		
Long EMAAR 26s	14-Sep-23	120bp	06-Mar-25	82bp	9.0%		
Long WESODA 31s	7-Mar-24	486bp	10-Mar-25	418bp	10.6%		
Long DIBUH Perps	22-Aug-24	264bp	20-Mar-25	196bp	4.20%		
Long ADSEZ 29s	04-Jan-23	353bp	10-Jul-25	248bp	15.40%		
Long ADSEZ 27s	03-Jan-24	363bp	10-Jul-25	228bp	7.80%		
Long ARACEN 26s	20-Feb-25	548bp	10-Jul-25	557bp	3.50%		
Long OCPMR 31s	03-Dec-24	225bp	18-Sep-25	156bp	10.30%		
Long PEMEX 32s	19-Jan-23	650bp	29-Oct-25	316bp	30.80%		
Long PEMEX 27s	26-Sep-23	630bp	29-Oct-25	94bp	42.10%		
Long ECOPET 31s	02-Nov-23	454.5bp	29-Oct-25	346bp	29.80%		
Long KOS 31s	03-Dec-24	572bp	6-Nov-25	1446bp	-21.9%		
Long KOS 28s	12-Jun-25	880bp	6-Nov-25	1476bp	-3.0%		
Long AKBNK 35s	17-Jul-25	425bp	1-Dec-25	393bp	5.7%		
Long ARAMCO 64s vs KSA 50s	14-Oct-24	56bp	1-Dec-25	54bp	-0.80%		
Long MAFUAE Perps	22-Aug-24	304bp	13-Jan-26	177bp	11.30%		
Long GDZELE 29s	10-Mar-25	550bp	22-Jan-26	545bp	8.5%		
Long WESODA 28s	1-Dec-25	563bp	22-Jan-26	375bp	3.8%		
Long SASOL 31s	03-Dec-24	413bp	29-Jan-26	504bp	8.1%		
Long MEX 35s vs PEMEX 35s	29-Oct-25	-164bp	27-Feb-26	-155bp	-1.7%		
Long LIMAK 29s	16-Jul-25	552bp	18-Mar-26	601bp	5.7%		
Long AFRCEL 29s	2-Dec-25	744bp	19-Jun-26	521bp	9.0%		
CEEMEA Sovereign/Quasi-Sovereign	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**	**$ Total PnL**	**PnL as % of Portfolio**
Partial profits in Egypt 2051 vs 2033s	23-Oct-25	170bp	13-Mar-26		1.20%		
Long Ukraine 2034A (partial profits)	2-Dec-24	54.0	19-Mar-25	56.80	5.50%		
Long Egypt 2051s vs UST	26-Feb-25	700	21-May-25	630bp	3.70%		
Long Angol 2032s vs UST	17-Jun-25	755	24-Jul-25	715.00	3.10%		
Long MOZAM 31 vs GABON 6 ½ 02/06/31	3-Dec-24	130bp	10-Oct-25	-90.00	4.70%		
Short Ukraine 2035Bs	30-Oct-25	295bp	02-Dec-25	360bp	-11.10%		
Long Angol 2048s	24-Jul-25	770	08-Jan-26	715.00	7.70%		
Partial profits in Egypt 2051 vs 2033s	23-Oct-25	170bp	22-Jan-26	140bp	3.5%		
Long Ukraine 2035A	30-Oct-25	1125bp	17-Feb-26	910.00	17.2%		
Long Ukraine 2032C	5-Dec-25	100.7 (warrants)	7-Mar-26	78.00	14.50%		
Long IVYCST 7 ¼ 01/30/33 vs UST	27-Oct-25	310	18-Jun-26	210.00	+6.0%		
Long ROMANI 02/22/36	25-Jun-26	265	03-Aug-26	250.00	1.1%		
Long ROMANI 02/22/36 vs BGARIA 03/26/35	25-Jun-26	190	03-Aug-26	175.00	1.0%		
LatAm Sovereign/Quasi-Sovereign	**Entry Date**	**Entry Level**	**Exit Date**	**Exit Level**	**P&L**	**$ Total PnL**	**PnL as % of Portfolio**
Long Argentina 2035s vs Argentina 2030s	30-Nov-22	2pts	3-Dec-24	10pts	260.5%		
Long Argentina 2030s	27-Nov-23	34pts	3-Dec-24	75pts	220.2%		
Long Ecuador 2035s vs Ecuador 2030s	2-Dec-24	12pts	13-Mar-25	11pts	1.50%		
Long Colombia 2061s vs Mexico 2061s	3-Dec-24	86bp	21-Mar-25	70bp	0.83%		
Long Argentina 2030s vs Argentina 2035s	4-Sep-25	11.8 pts	8-Oct-25	15.3 pts	3.5 pts		
Long SOAF 2052s vs Colombia 2061s	1-Dec-25	10bps	7-May-26	64bp	-54bp		
Long Brazil 2054s vs Paraguay 2048s	3-Oct-24	91bp	16-Jul-26	103bp	24bp		

Note: Please reach out for trade idea history dating back further than 12 months.

Source: Citi Research

Introducing Sizing Methodology

We are now rolling out sizing in our targeted trades part of the EM portfolio, in addition to the model bond portfolio product (see more details on the model bond portfolio in the section below). We are using capital-at-risk methodology to size our ad-hoc trades. Under this method, we will size each trade according to capital we are willing to put at risk, as a percentage of the total portfolio – i.e., 0.5%, 1% VAR and so on. The capital at risk is essentially equal to the stop loss of the trade.

- **Stop loss** – While there are quantitative methods using different measures of volatility to decide the stop loss (such as average true range, 90-day Vol, 2 sigma, etc.), the usefulness will vary depending on the region and the asset class. The team will exercise a mix of qualitative and quantitative factors in determining the stop loss. For example, for frontier currencies, the historical vol measures are not likely to accurately capture devaluation risks.

- **Regional Split** - Each region has its own portfolio (LatAm, CEEMEA, and Asia), with a nominal size of $100mm. This brings the global EM portfolio to $300mm size, weighing the three geographies equally.

- **Asset class** – As mentioned before, we are currently rolling this out for global FX and rates trades in our EM portfolio. Credit trades are exempt from sizing at this stage.

- **Example** – For a 2% stop loss in a USDPLN trade, where we are willing to risk 0.5% of total portfolio, it implies a USDPLN position size of 0.25*(total portfolio size). Assuming a $100mm size for the total portfolio, this gives us a $25mm position in the FX trade.

- **Target** – While there no set targets and we treat this as a total return product (compared to the benchmarked return product which is our model portfolio), a ‘soft’ target of around 10% portfolio returns with 1.5x Sharpe will largely be in line with industry standards for macro hedge funds.

P&L Methodology

The P&L is hypothetical and includes the impact of transaction costs. However, for trades that are larger than the standard size slippage may be significant and may make it more difficult to realize a profit from trading if replicating the suggested trades.

OTC trades are established at market prices from independent trading desks in the sales and trading department of Citigroup Global Markets Inc. or one of its affiliates. Prices for listed positions are established on the listing exchange at the time of the publication of the trade idea.

OTC positions are initiated and closed at the relevant bid/ask prices and are marked at mid-market during the life of the trade. The prices reflect the closing levels the day prior to publication. Listed positions are priced at end of day settlement of previous day on the listing exchange.

When OTC market prices are not readily available, positions are priced to fair market value, using techniques such as model or matrix pricing at time of publication. Examples of products that are priced to fair market value may include certain contractual commitments (ie, interest rate swaps, options, etc.).

Citi Research EM Local Currency Model Portfolio

Portfolio Objective

Provide returns in excess of the benchmark (Citi Research EM Local Currency GBI) with a reasonable tracking error.

Portfolio Constraints

- **No Cash**: The portfolio will always be invested – i.e., no cash allowed.
- **Leverage**: No leverage allowed for cash, but FX exposure can be increased or decreased using NDF's/forwards.
- **FX country limit**: Maximum country exposure will be +/– 10 percentage points with sizes adjusted for benchmark weight of country and liquidity in the currency.
- **Bonds country limit on duration**: Maximum duration exposure per country is limited to +/– 2yr with adjustments to be made for average duration of the country and liquidity.
- **Out of index bonds and countries**: Out of index bonds and countries are allowed.
- **Definition of duration and duration contribution:**

Figure 33. Duration and duration contribution

Effective Duration	(V+ – V–) / (20 x V0)	• where V0 is the Original Price of the bond V+ is the Price if yields increase by 10bp V– is the Price if yield decreases by 10bp
Contribution to Duration (CTD)	Duration x Country Weight (%)	For example, if KRW country weight is 10% and Duration is 5yrs, then the contribution to duration (CTD) is 0.5yrs

Source: Citi and Citigroup Index LLC, as of October 7, 2014

Additional Statement on Citi Research FX EM Local Currency Model Bond Portfolio

Fees, transaction costs, and other expenses reduce returns. The total impact of the spreads and fees may be significant and may make it more difficult for you to realize a profit from trading if replicating Citi's "EM Local Currency Model Bond Portfolio."

The Model Portfolio represents hypothetical and not actual investments. The information contained in this report is based on generally available information, and although obtained from sources believed by Citi to be reliable, its accuracy and completeness cannot be assured, and such information may be incomplete or condensed. Other Citi personnel may have made investment decisions or take positions that are inconsistent with recommendations or views in this publication.

As a paper trading exercise, the model portfolio does not incur monetary risk. No hypothetical model portfolio record can completely account for the impact of financial risk in actual trading. For example, the ability to withstand losses or to adhere to an intended allocation in spite of trading losses is material points that can also adversely affect actual trading results. There are numerous other factors related to the markets in general or to the implementation of any specific trading program, which cannot be fully accounted for in the preparation of hypothetical performance results.

Model Portfolio (EM Local Currency Model Bond Portfolio)

- Our model bond portfolio attempts to represent how we would position in EM Local Currency bonds and emerging market FX as a cash investor who attempts to outperform a benchmark. The risk exposure of the portfolio is broken into three components – cash, duration and FX. The FX exposure consists of the cash FX plus an overlay portfolio via non deliverable forwards (NDFs).

- Our benchmark is the Citi Research EM Local Currency GBI that consists of fixed rate local government bonds of 18 countries in Asia, CEEMEA and LatAm. The sub-indices are the same as published by Citi's index group for the three regions with the exclusion of HK. The maximum percent of each country is capped at 10% in the benchmark.

- Overweights and underweights are chosen via a discretionary process by the strategy team. The strategy team determines this as and when they believe that market conditions/fundamentals/macro factors/technicals have changed and warrant a new position or an exit from a current position. The changes are published immediately as and when they are made. The model portfolio is published once a month in the "EM Bond Portfolio Strategy" publication.

- All the return calculations on the benchmark are from Citi's Index group. All the return calculations on the model portfolio use closing prices from Citi's Index group, and Bloomberg (mid). For FX overlay portfolio, we used WMCO end of the day prices as shown by Bloomberg.

- The portfolio is rebalanced at the end of each month to be in sync with the benchmark. The benchmark rebalancing happens at the beginning of the month so that bonds that do not meet the criteria are taken out and new bonds that meet the criteria are added in addition to changes in outstanding size. The criteria for inclusion and exclusion are based upon minimum maturity of one year and minimum size.

Anyone attempting to replicate this portfolio would incur substantial slippage due to transaction costs and the delay between the publication of our document and the valuation time. With that in mind, results obtained from mimicking the model portfolio are likely to be substantially different from those reported in this document. Citi does not make any representation that any account will achieve results similar to those shown.

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